

Beco Assignment

Sales Analysis

a. General overview, sales and trends

1. There are three categories in the data set provided: Kitchen-Home storage and organization, Health-Household Supplies, Beauty-Bath & body.
2. There are subcategories consisting of:
 - Dustbin Bags
 - Pocket Tissues
 - Box Tissues
 - Dryer Sheets
 - Moist Wipes
 - Toilet Tissue
 - Paper Towels
 - Liquid Detergent
 - Floor Cleaners
 - Dishwash Liquids & Gels
 - Stain Removers' 'Napkins
 - Bathroom Cleaners
 - Kitchen Cleaners
 - Facial Tissue
 - Glass Cleaners
 - All-Purpose Cleaners
 - Hand Wash
3. Further subcategories consist of SKUs

Garbage Bags

- Beco Eco-Friendly Garbage Bags – Large (24 x 32 in), 225 Bags (15 Rolls × 15 Bags), Green, with Detachable Drawstrings, for Dry & Wet Waste
- Beco Eco-Friendly Garbage Bags – Medium (19 x 21 in), 300 Bags (10 Rolls × 30 Bags), Green, with Detachable Drawstrings, for Dry & Wet Waste
- Beco Eco-Friendly Garbage Bags – Large (24 x 32 in), 150 Bags (10 Rolls × 15 Bags), Green, with Detachable Drawstrings, for Dry & Wet Waste
- Beco Eco-Friendly Garbage Bags – Medium (19 x 21 in), 120 Bags, Pack of 4, Green
- Beco Eco-Friendly Garbage Bags – XXL (30 x 50 in), 96 Bags, 50 Micron, Pack of 12, Green
- Beco Eco-Friendly Garbage Bags – XL (30 x 37 in), Pack of 6, Green
- Beco Eco-Friendly Garbage Bags – XL (30 x 37 in), Pack of 3, Green
- Beco Compostable Garbage Bags – Small (17 x 19 in), 20 Micron, Pack of 60, 1800 Bags, Green
- Beco Compostable Garbage Bags – XL (30 x 37 in), 50 Micron, Pack of 6, 180 Bags, Green
- Beco Compostable Garbage Bags – XXL (30 x 50 in), 40 Micron, Pack of 4, 120 Bags, Green
- Beco Compostable Garbage Bags – Medium (48 x 53 cm), 15 Pieces, Green

- Beco Compostable Garbage Bags – Large (61 x 81 cm), 10 Pieces, Green
- Beco Eco-Friendly Garbage Bags – Medium (19 x 21 in), 450 Bags (15 Rolls x 30 Bags), Green
- Beco Eco-Friendly Garbage Bags – Small (17 x 19 in), 300 Bags (10 Rolls x 30 Bags), Green
- Beco Eco-Friendly Garbage Bags – Small (17 x 19 in), 450 Bags (15 Rolls x 30 Bags), Green
- Beco Eco-Friendly Garbage Bags – Small (17 x 19 in), 90 Bags (3 Rolls x 30 Bags), Green
- Beco Eco-Friendly Garbage Bags – Small (17 x 19 in), 180 Bags (6 Rolls x 30 Bags), Green
- Beco Eco-Friendly Garbage Bags – Large (24 x 32 in), 90 Bags (6 Rolls x 15 Bags), Green
- Beco Eco-Friendly Garbage Bags – Medium (19 x 21 in), 180 Bags (6 Rolls x 30 Bags), Green
- Beco Flat Compostable Garbage Bags – Medium (19 x 21 in), 90 Bags, Pack of 6, Green
- Beco Flat Compostable Garbage Bags – Medium (19 x 21 in), 45 Bags, Pack of 3, Green
- Beco Flat Compostable Garbage Bags – Medium (19 x 21 in), 45 Bags, Pack of 3, Blue, Biodegradable
- Beco Flat Compostable Garbage Bags – Medium (19 x 21 in), 90 Bags, Pack of 6, Blue, Biodegradable
- Beco Eco-Friendly Garbage Bags – Large (24 x 32 in), 15 Bags, 1 Roll, Green
- Beco Eco-Friendly Garbage Bags – Small (17 x 19 in), 30 Bags, 1 Roll, Green
- Beco Eco-Friendly Garbage Bags – Large (24 x 32 in), 45 Bags (3 Rolls x 15 Bags), Green
- Beco Eco-Friendly Garbage Bags – Medium (19 x 21 in), 30 Bags, 1 Roll, Green

Facial Tissues & Napkins

- Beco Bamboo Hanky Tissues – 100 Pulls, Pack of 10, 100% Natural & Eco-Friendly
- Beco Bamboo Facial Tissue Box (Soft Pack) – 200 Pulls x 6 Packs, 2-Ply, 1200 Pulls Total
- Beco Bamboo Facial Tissue Box (Soft Pack) – 100 Pulls x 12 Packs, 2-Ply, 1200 Pulls Total
- Beco Bamboo Facial Tissue Box (Soft Pack) – 200 Pulls x 3 Packs, 2-Ply, 600 Pulls Total
- Beco Bamboo Facial Tissue Box (Soft Pack) – 100 Pulls x 6 Packs, 2-Ply, 600 Pulls Total
- Beco Bamboo Super Soft Facial Tissue – 100 Pulls, Pack of 120, 2-Ply
- Beco Bamboo Facial Tissue Box (Hard Pack) – 100 Pulls x 4 Boxes, 2-Ply, 400 Pulls Total
- Beco Super Soft Premium 3-Ply Facial Tissue Box – 100 Pulls x 3 Packs, 300 Pulls Total
- Beco Super Soft Premium 3-Ply Facial Tissue Box – 100 Pulls, Single Pack

Wet Wipes

- Beco Bamboo Aloe Vera Wet Wipes – 25 Pulls, Pack of 1
- Beco Bamboo Aloe Vera Wet Wipes – 25 Pulls, Pack of 6
- Beco Bamboo Aloe Vera Wet Wipes – 25 Pulls, Pack of 12

Toilet Paper & Tissue Rolls

- Beco Toilet Tissue Rolls – 3-Ply, 1920 Pulls (160 x 12 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 1760 Pulls (220 x 8 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 880 Pulls (220 x 4 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 2640 Pulls (220 x 12 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 5280 Pulls (220 x 24 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 3520 Pulls (220 x 16 Rolls)
- Beco Toilet Tissue Rolls – 3-Ply, 10560 Pulls (220 x 48 Rolls)
- Beco Bamboo 3-Ply Toilet Paper Roll – 160 Pulls Each, Pack of 6
- Beco Bamboo 3-Ply Toilet Paper Roll – 220 Pulls Each, Pack of 36
- Beco Bamboo 2-Ply Toilet Paper Roll – 375 Pulls Each, Pack of 80

Kitchen Towels & Multi-Fold Tissues

- Beco Reusable Kitchen Towel Roll – 40 Sheets, Washable up to 4000 Times
- Beco Reusable Kitchen Towel Roll – 20 Sheets, Washable up to 2000 Times
- Beco Reusable Kitchen Towel Roll – 80 Sheets, Washable up to 8000 Times
- Beco Bamboo Kitchen Tissue Roll – 120 Pulls (60 × 2 Rolls), 2-Ply
- Beco Bamboo Kitchen Tissue Roll – 240 Pulls (60 × 4 Rolls), 2-Ply
- Beco Kitchen Towel Rolls – 360 Pulls (60 × 6 Rolls), 2-Ply
- Beco Bamboo Kitchen Towels – 6 Reusable Sheets, Washable up to 600 Times
- Beco Bamboo Kitchen Towels – 3 Reusable Sheets, Washable up to 300 Times
- Beco Bamboo Reusable Kitchen Towels – 120 Sheets
- Beco Bamboo Multi-Fold Tissue Papers – 150 Pulls, 42 GSM
- Beco Bamboo Multi-Fold Tissue Papers – 150 Pulls, 32 GSM
- Beco Bamboo Multi-Fold Tissue Papers – 450 Pulls (3 × 150 Pulls)
- Beco Bamboo Multi-Fold Tissue Papers – 900 Pulls (6 × 150 Pulls)
- Beco Bamboo Multi-Fold Tissue Papers – 1500 Pulls (10 × 150 Pulls)

Laundry & Cleaning Products

- Beco Natural Liquid Detergent – Front Load, 2L Refill Pack
- Beco Natural Liquid Detergent – Top Load, 2L Refill Pack
- Beco Natural Liquid Detergent – Front Load, 960 ml Bottle
- Beco Natural Liquid Detergent – Top Load, 960 ml Bottle
- Beco Natural Liquid Detergent – Front Load, 5L Bottle
- Beco Natural Liquid Detergent – Top Load, 5L Bottle
- Beco Natural Liquid Detergent – Front Load, 4L Refill Pack
- Beco Natural Liquid Detergent – Top Load, 4L Refill Pack
- Beco Organic Laundry Liquid Detergent – 500 ml
- Beco Eco-Friendly Laundry Detergent Sheets – 60 Loads
- Beco Eco-Friendly Laundry Detergent Sheets – 120 Loads
- Beco Premium Natural Laundry Detergent Liquid – 1000 ml
- Beco Power Up Laundry Detergent Liquid – 5L Refill Pack
- Beco Fabric Softener Sheets – 30 Sheets
- Beco Natural Undergarment Laundry Detergent Shampoo – 500 ml

Floor & Surface Cleaners

- Beco Natural Disinfectant Floor Cleaner – 2L Refill Pack
- Beco Natural Disinfectant Floor Cleaner – Pack of 2 (2L Each)
- Beco Natural Disinfectant Floor Cleaner – 5L Bottle
- Beco Natural Disinfectant Floor Cleaner – 1L Bottle
- Beco Eco-Friendly Floor Cleaner – 1L, Lime & Mint Essential Oil
- Beco Eco-Friendly Floor Cleaner Sheets – 30 Sheets
- Beco Natural Floor Cleaner – 500 ml, Lime & Mint Essential Oil
- Beco Natural Floor Cleaner – 1L, Eucalyptus & Camphor Fragrance
- Beco Natural Floor Cleaner – 1L, Pack of 12
- Beco Tap, Shower & Limescale Remover – 500 ml
- Beco Max Kitchen Cleaner – 500 ml
- Beco Max Glass & Multi-Surface Cleaner Spray – 500 ml
- Beco Max Magic Cleaner – 850 gm

- Beco Magic Cleaner – 350 gm

Dishwashing Products

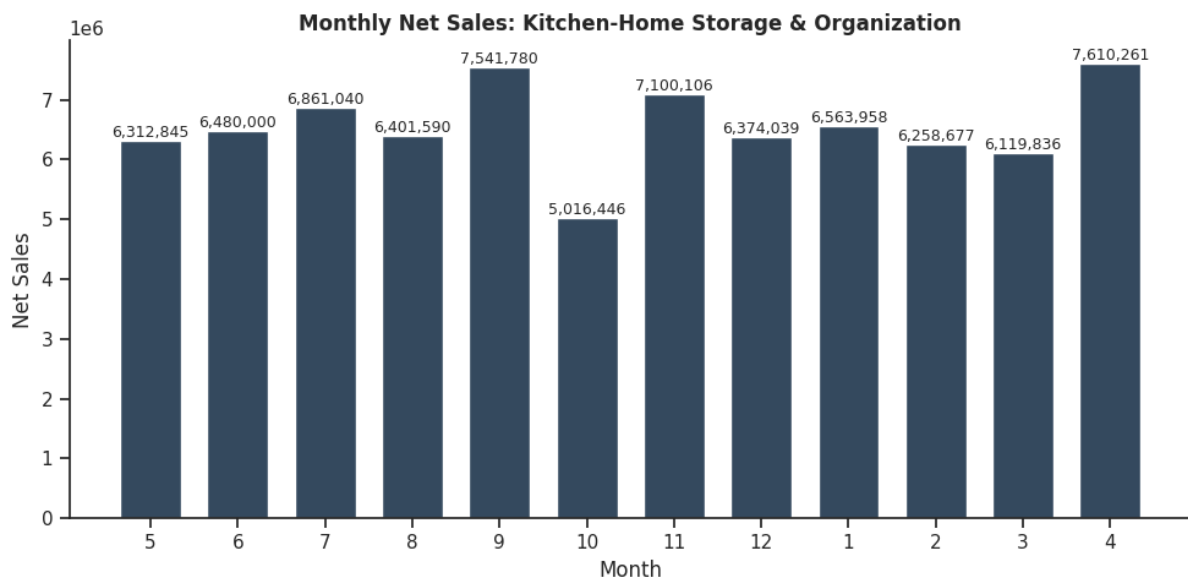
- Beco Natural Dishwasher Liquid Refill – 2L
- Beco Natural Dishwasher Liquid Refill – 4L (2 × 2L Packs)
- Beco Natural Dishwash Liquid – 750 ml, Orange Citrus
- Beco Natural Dishwash Liquid – 500 ml, Lemon & Orange Extracts

Handwash & Personal Care

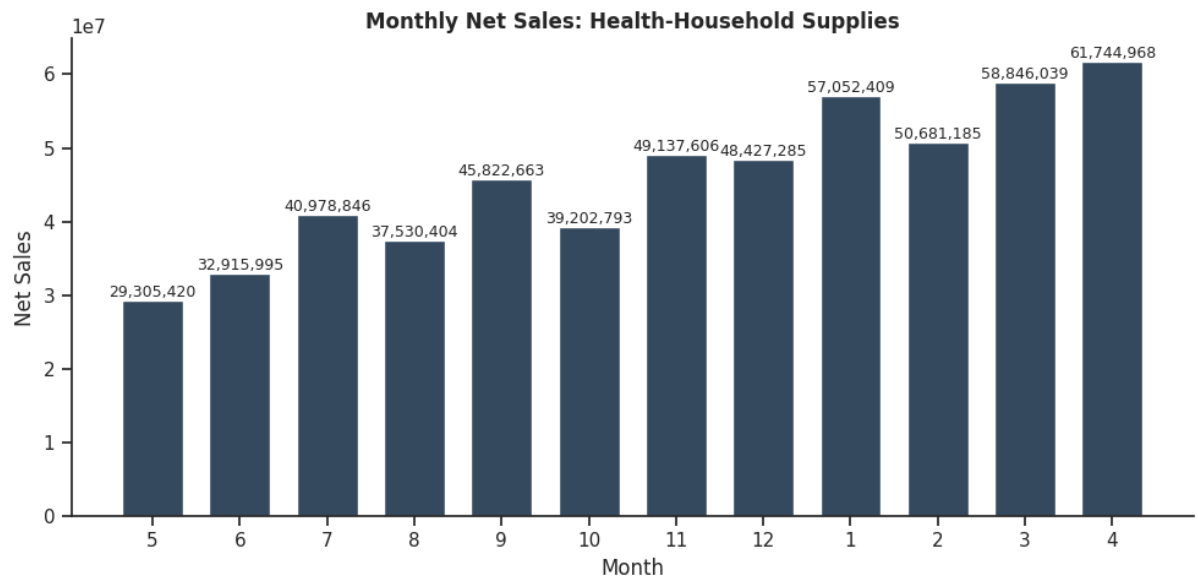
- Beco Moisturising Liquid Handwash – Mahogany Teakwood, 675 ml
- Beco Moisturising Liquid Handwash – Mahogany Teakwood, Pack of 2
- Beco Moisturising Liquid Handwash – Moringa, 675 ml
- Beco Moisturising Liquid Handwash – Moringa, Pack of 2
- Beco Moisturising Foaming Handwash – Mahogany Teakwood, 250 ml
- Beco Moisturising Foaming Handwash Refill – Mahogany Teakwood, 700 ml
- Beco Instant Stain Remover Wipes – Pack of 10

4. Categorical level trend of net sales overtime(months)

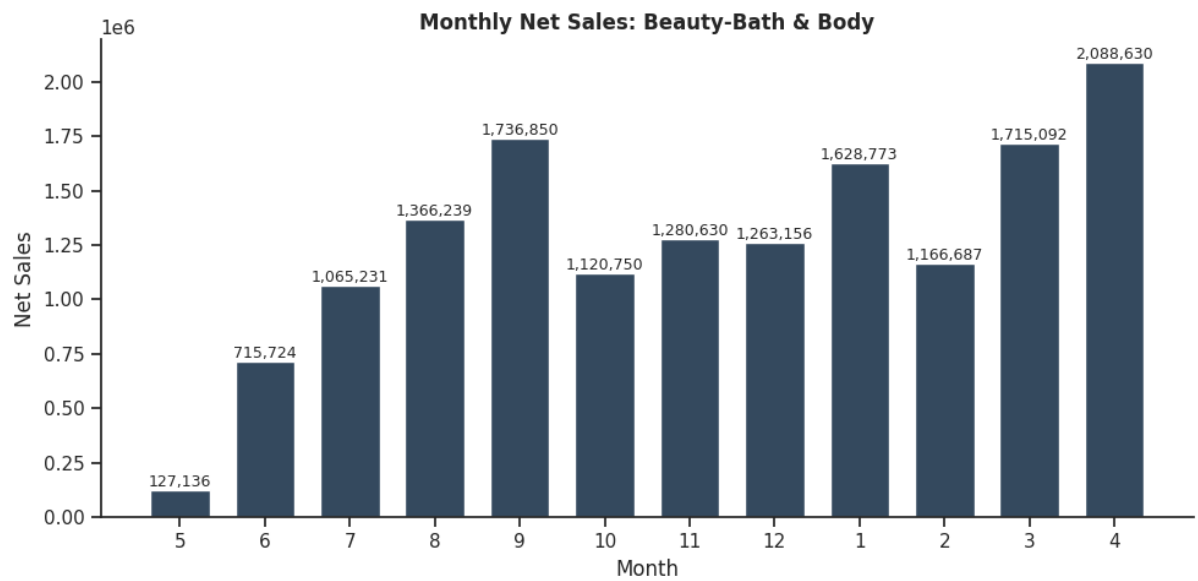
- Kitchen Home Storage & Organizations



- Health Household Supplies

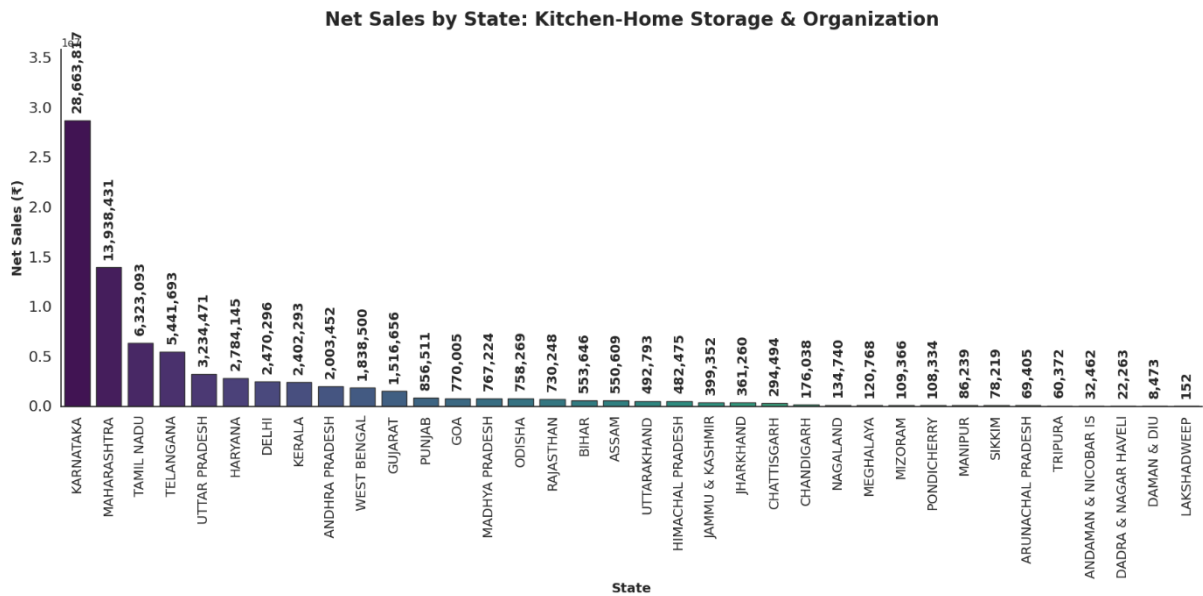


- Beauty Bath and Body

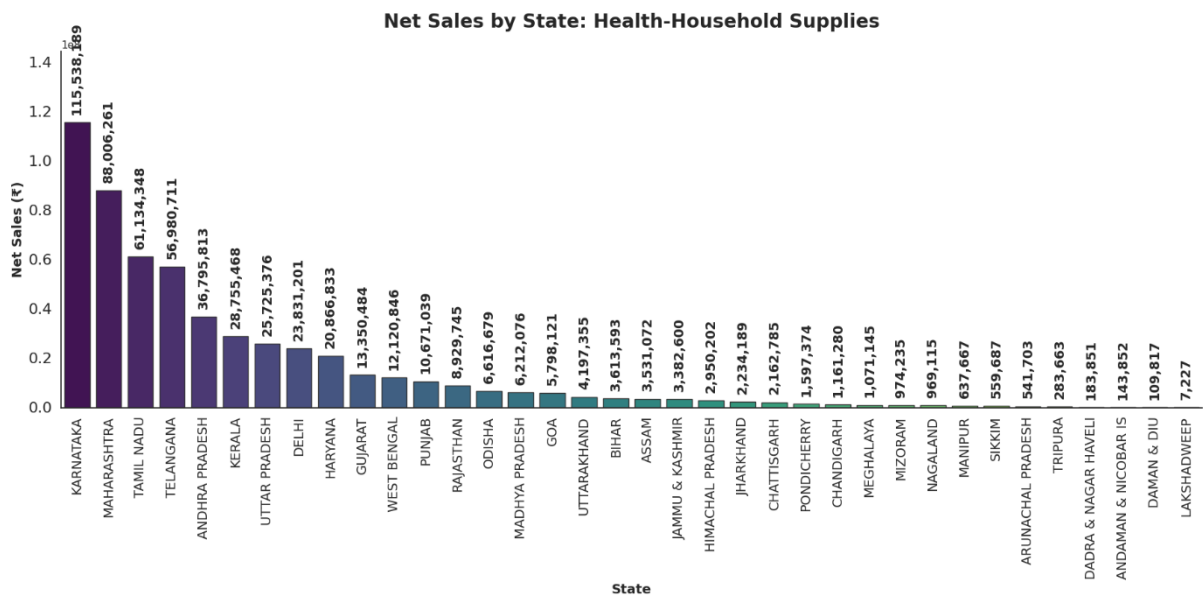


5. Trend of net sales of categories over region

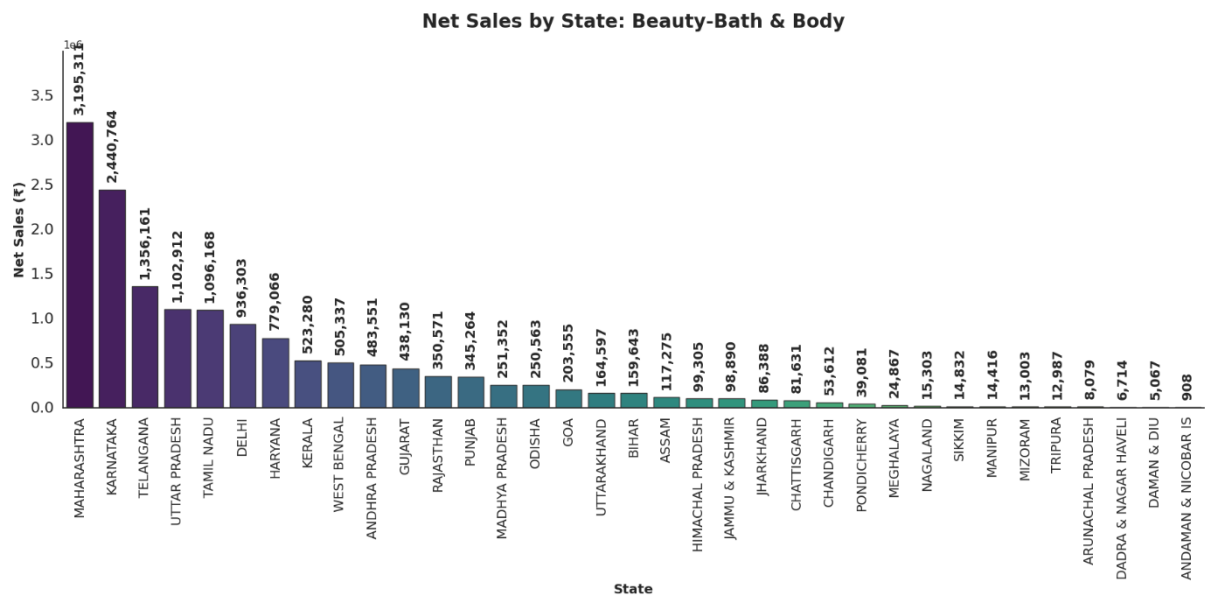
- Kitchen-Home Storage & Organization



- Health Household Supplies

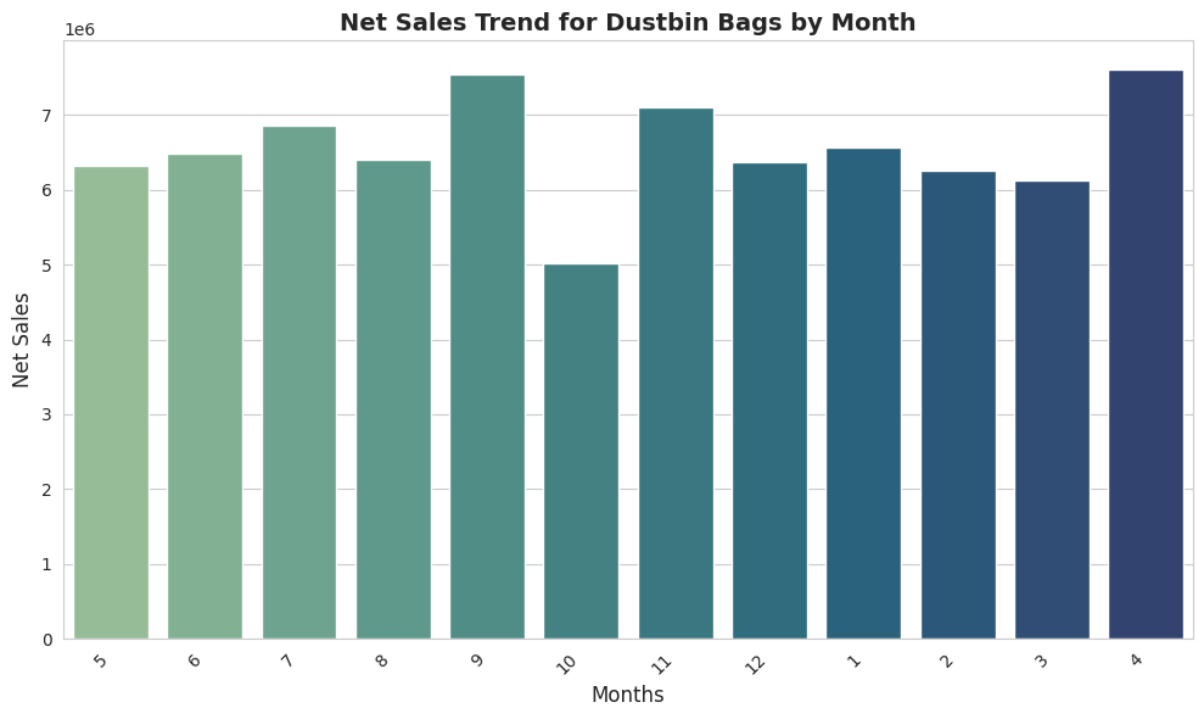


- Beauty Bath & Body

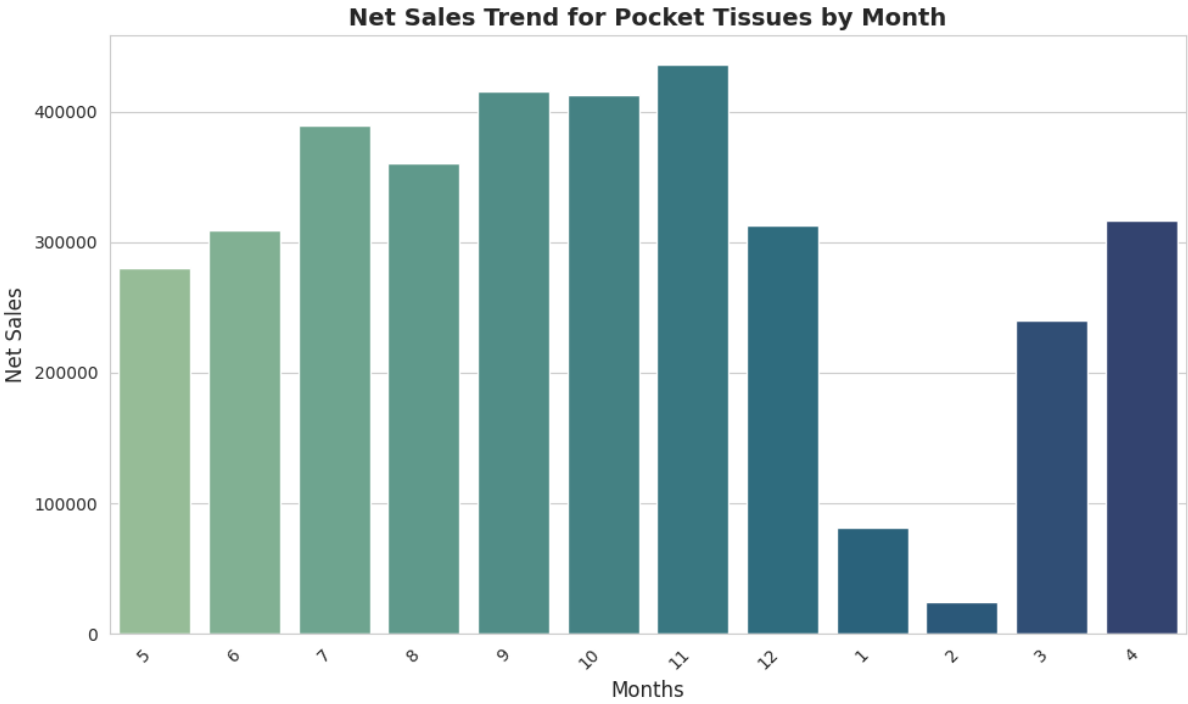


6. Net Sales trends of Subcategories with time(months)

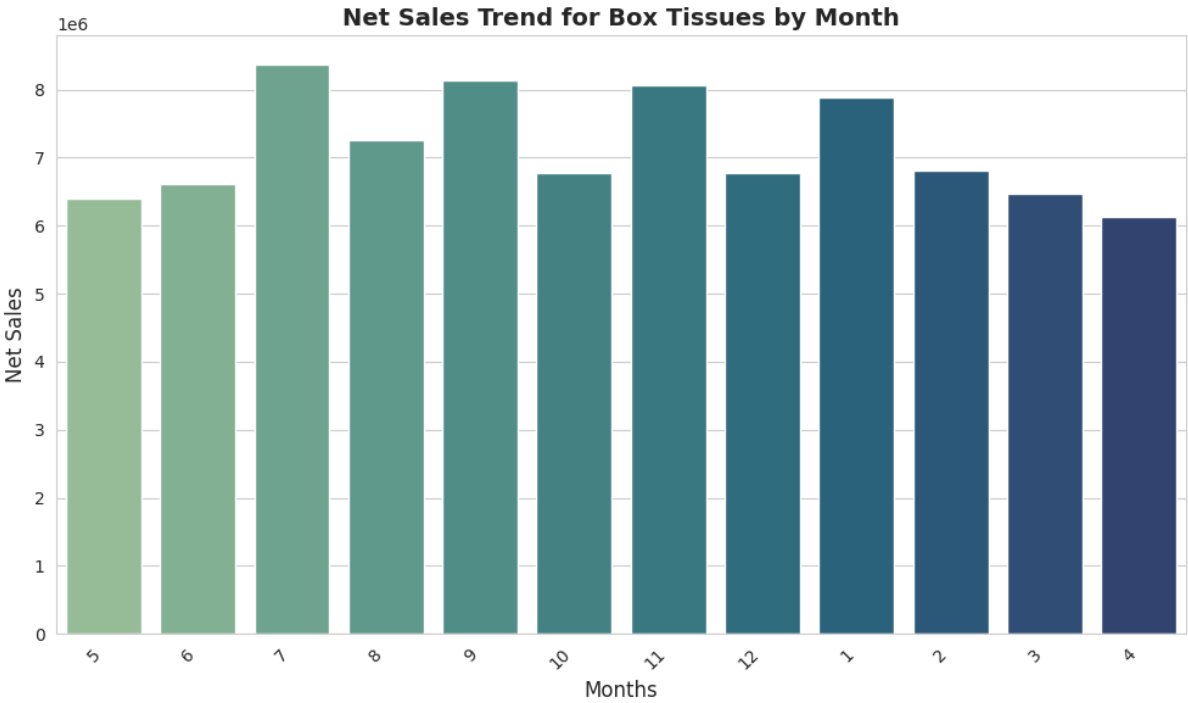
- Dustbin Bags



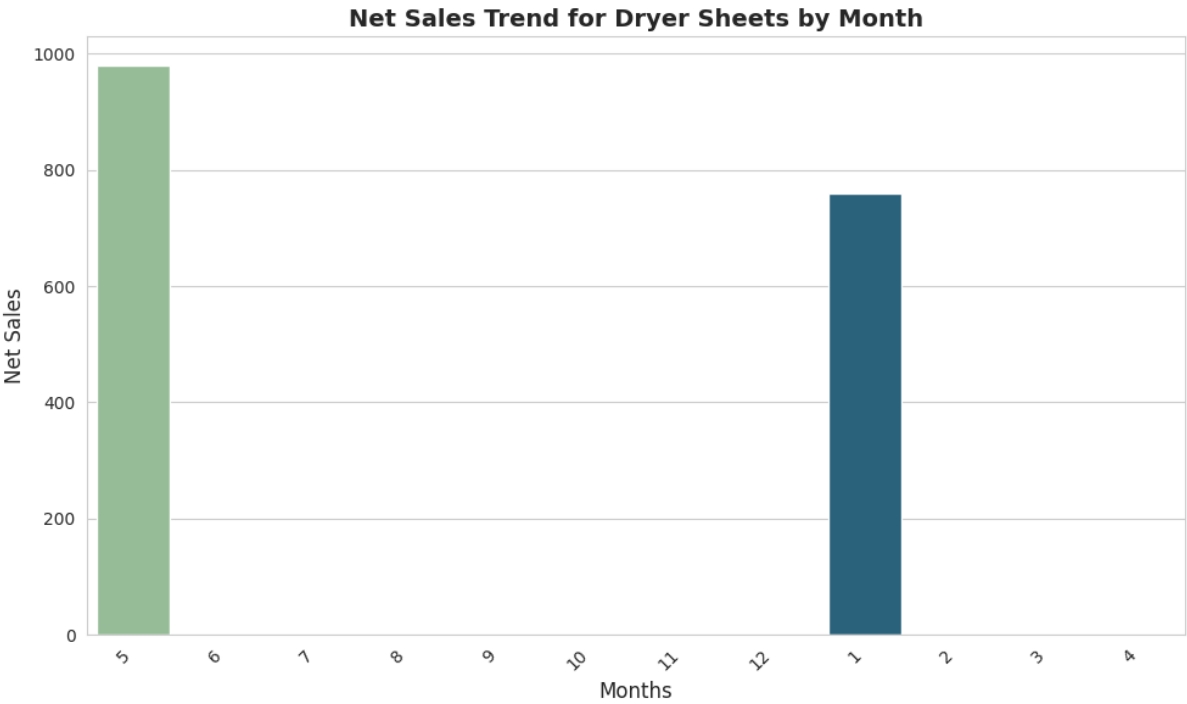
- Pocket Tissues



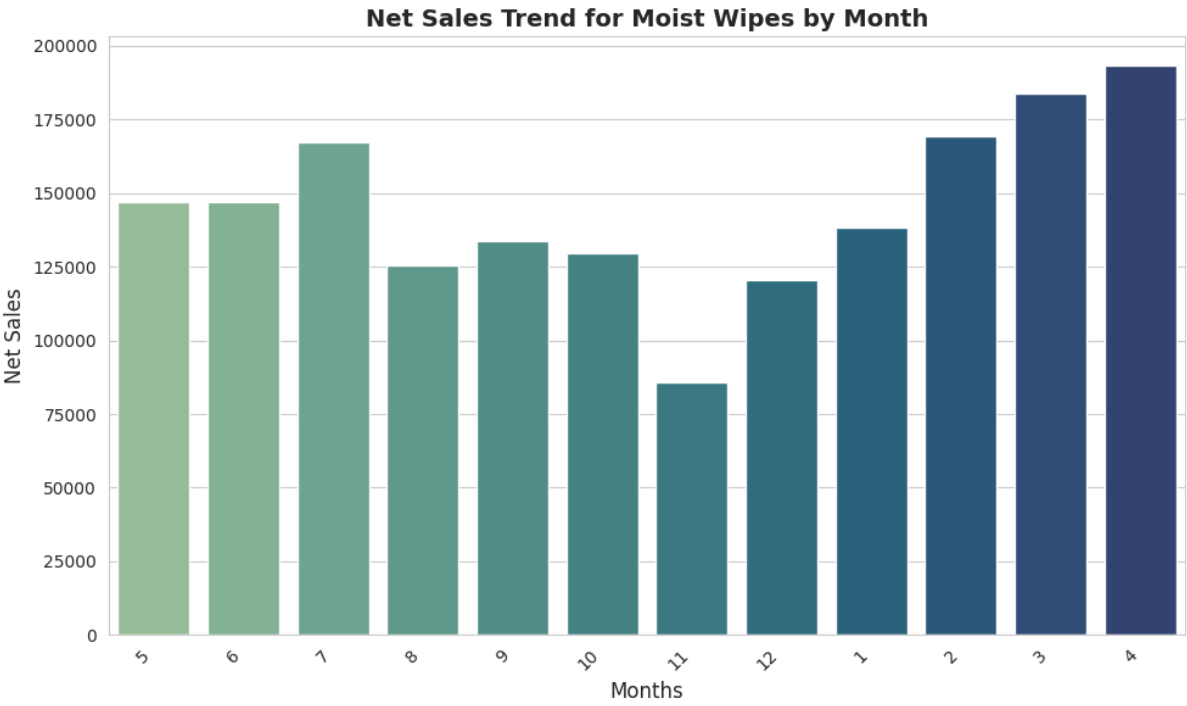
- Box Tissues



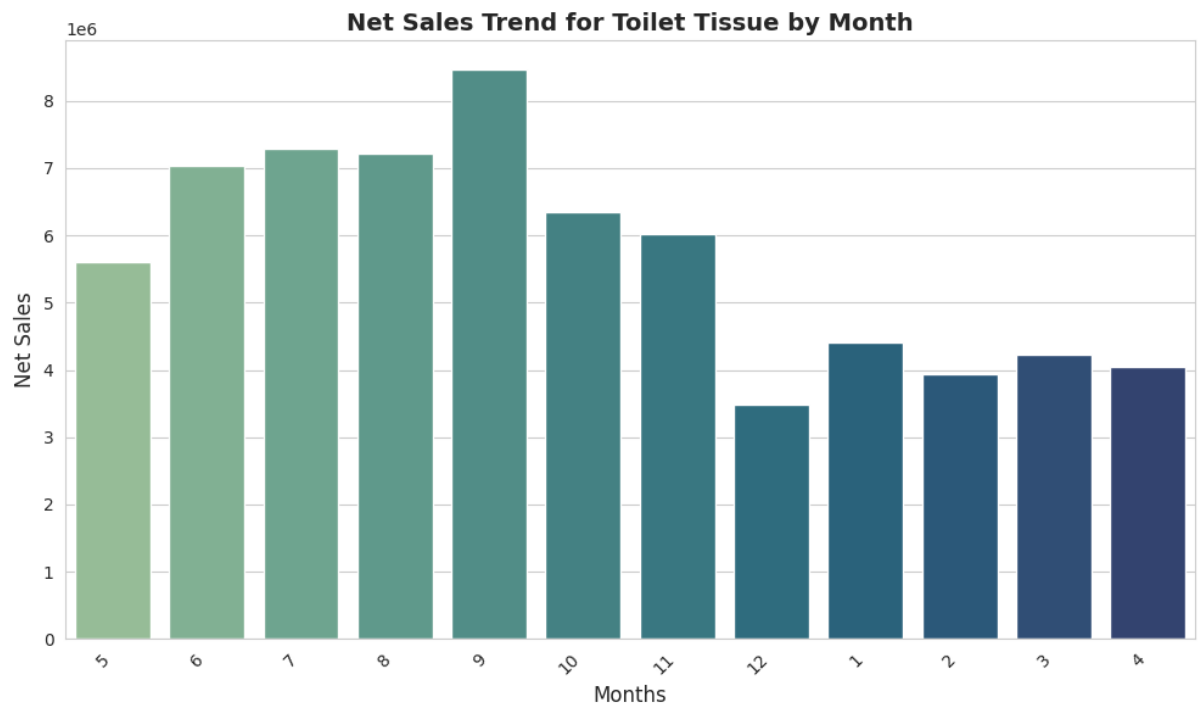
- Dryer Sheets



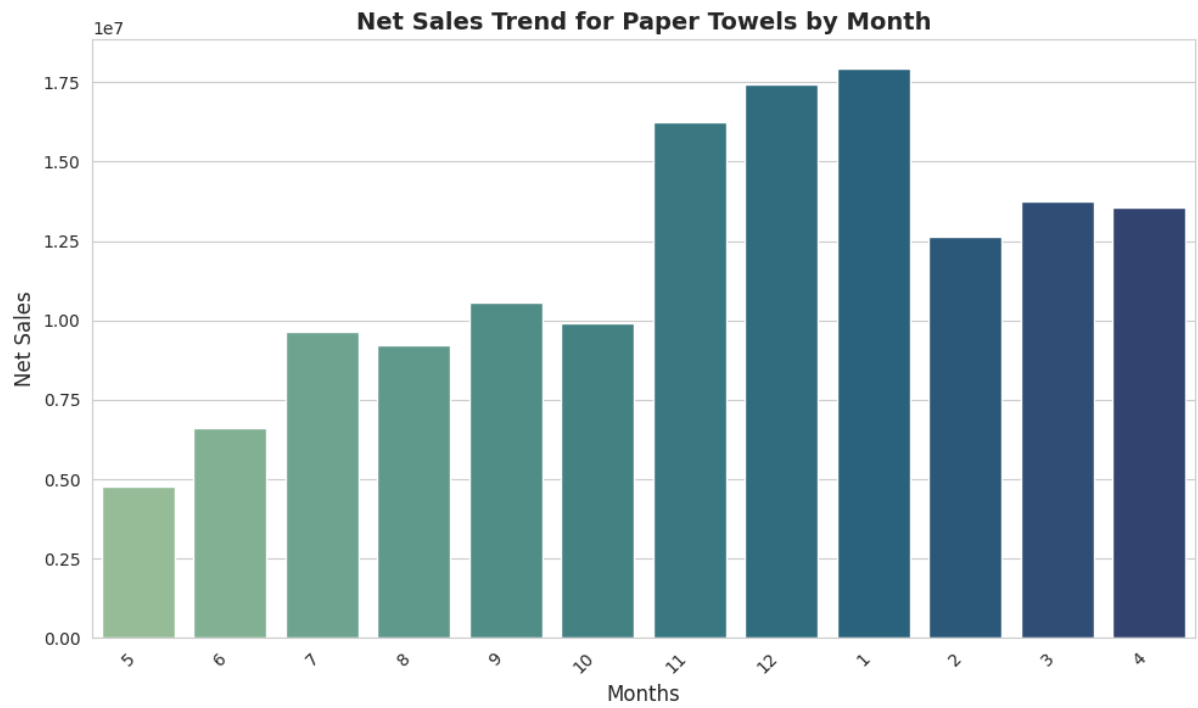
- Moist Wipes



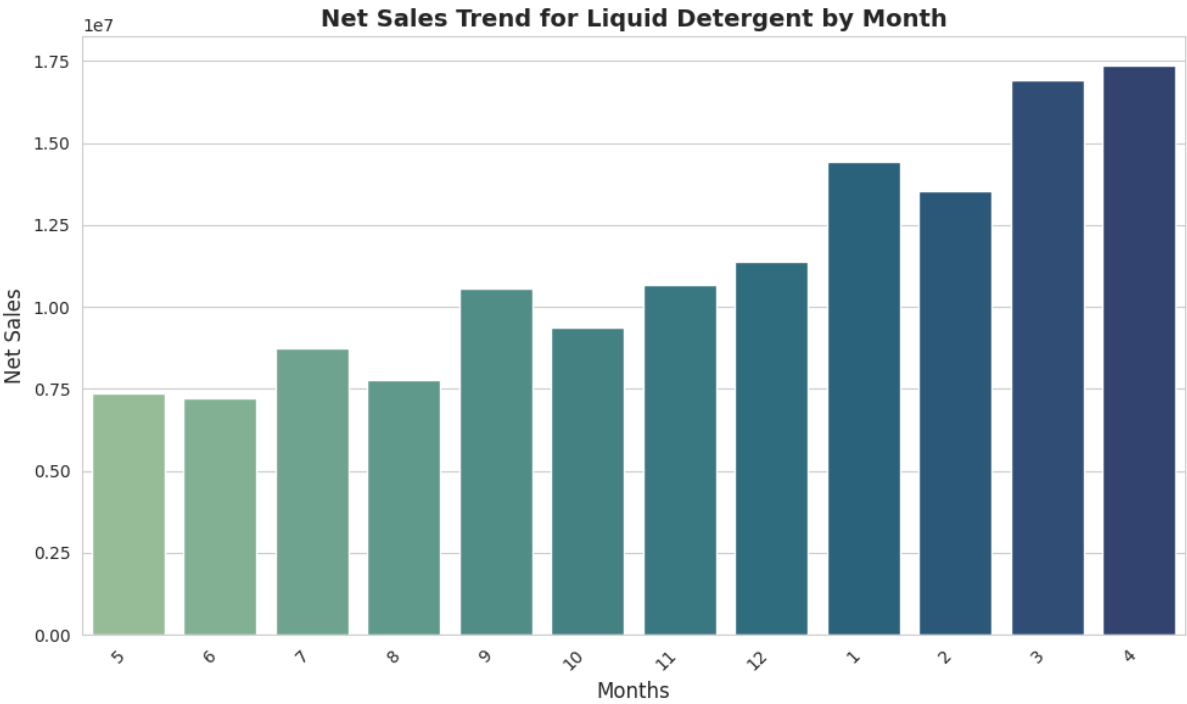
- Toilet Tissue



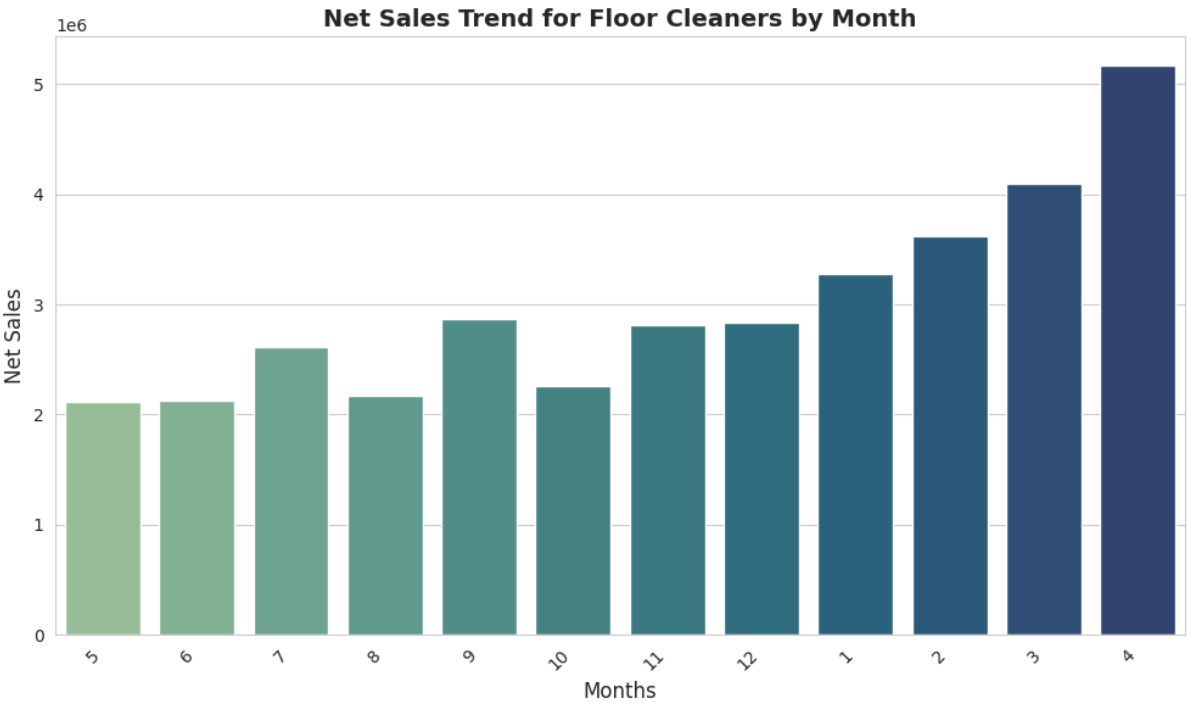
- Paper Towels



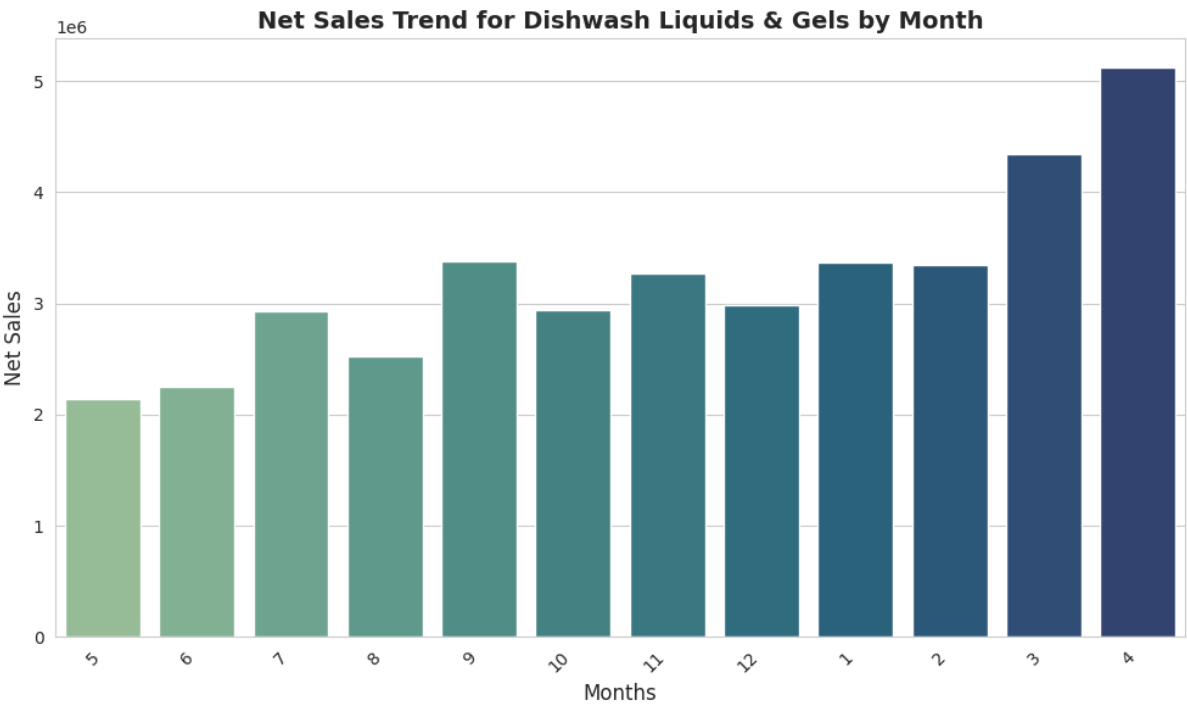
- Liquid Detergent



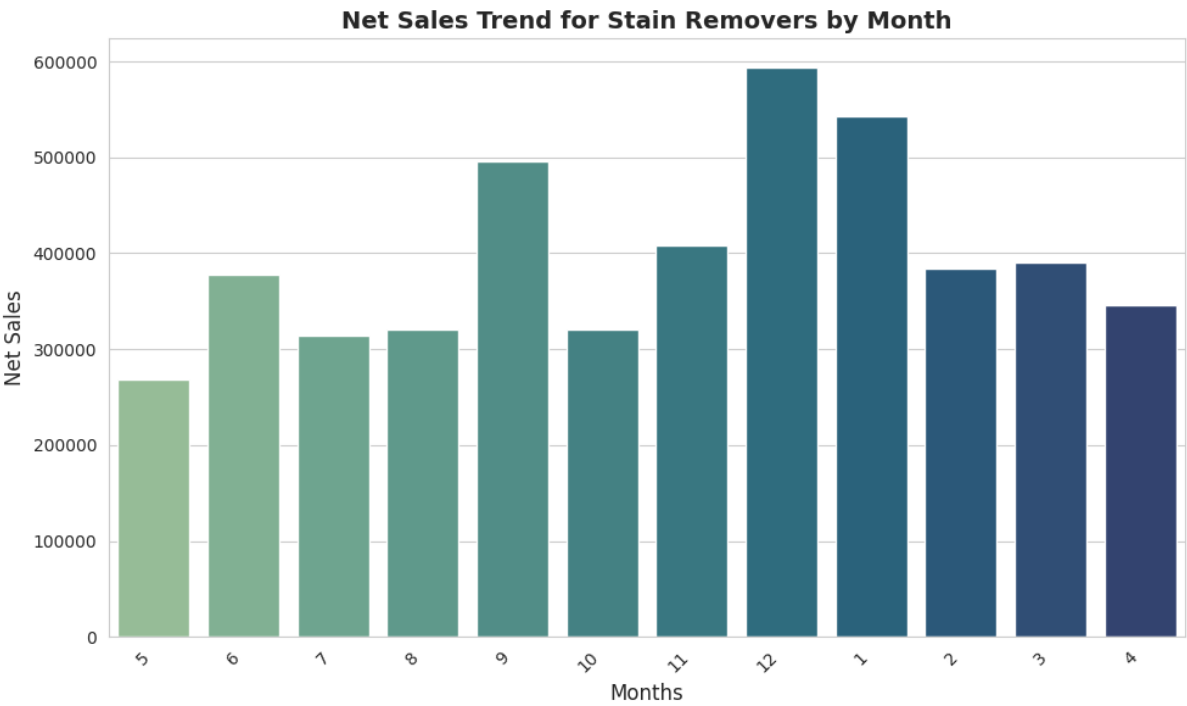
- Floor Cleaners



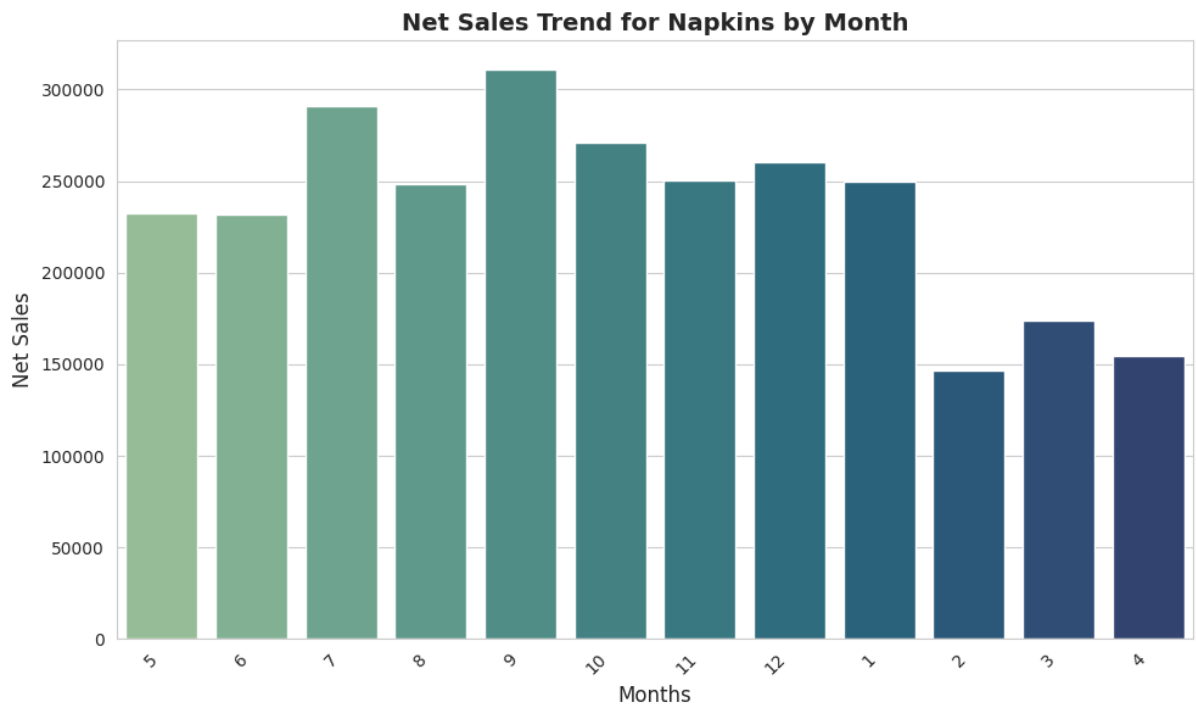
- Dishwash Liquids and Gels



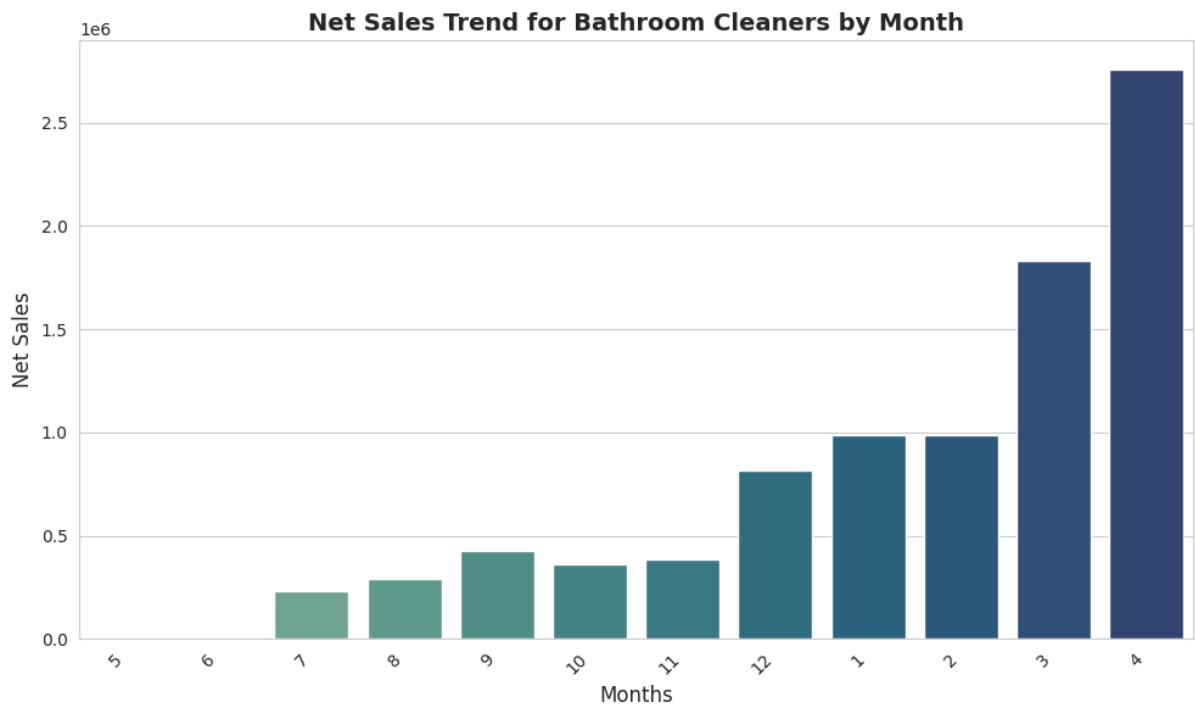
- Stain Removers



- Napkins



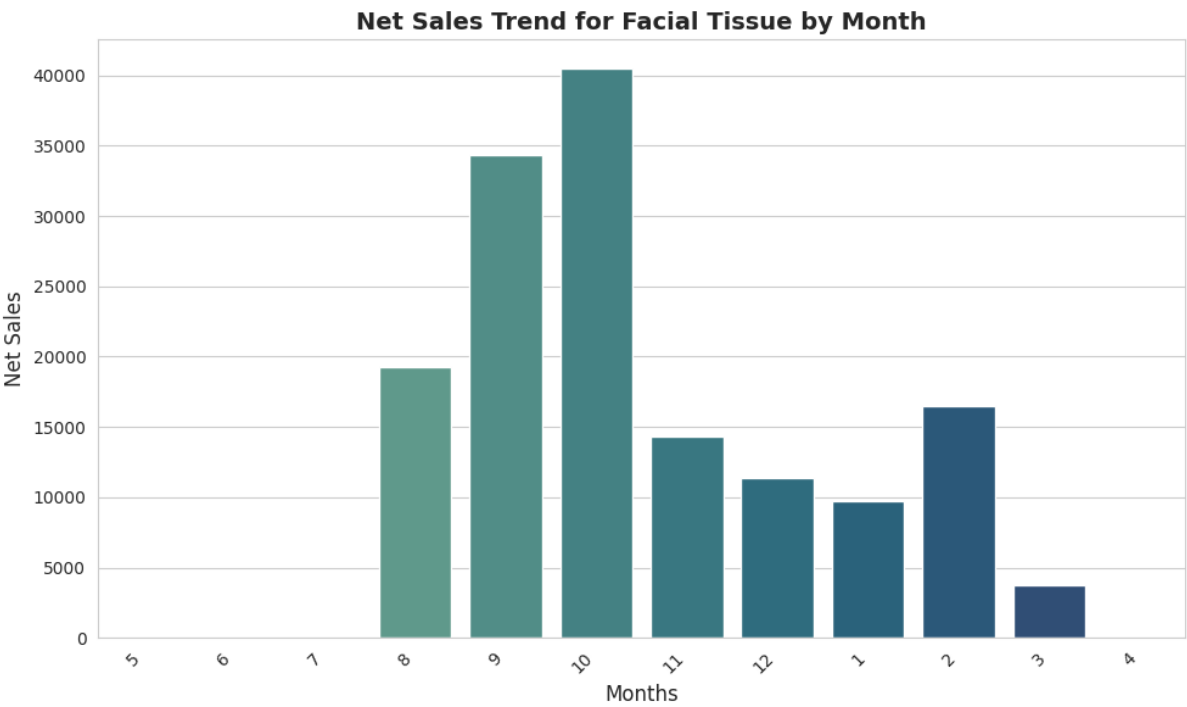
- Bathroom Cleaners



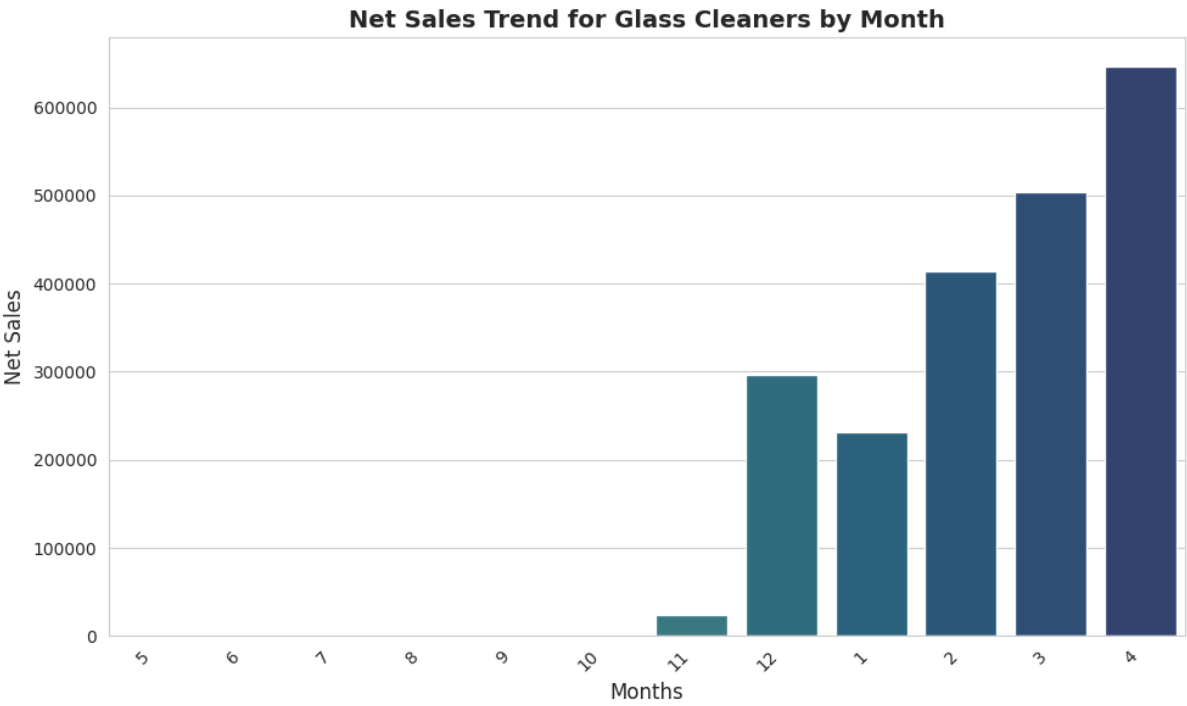
- Kitchen Cleaners



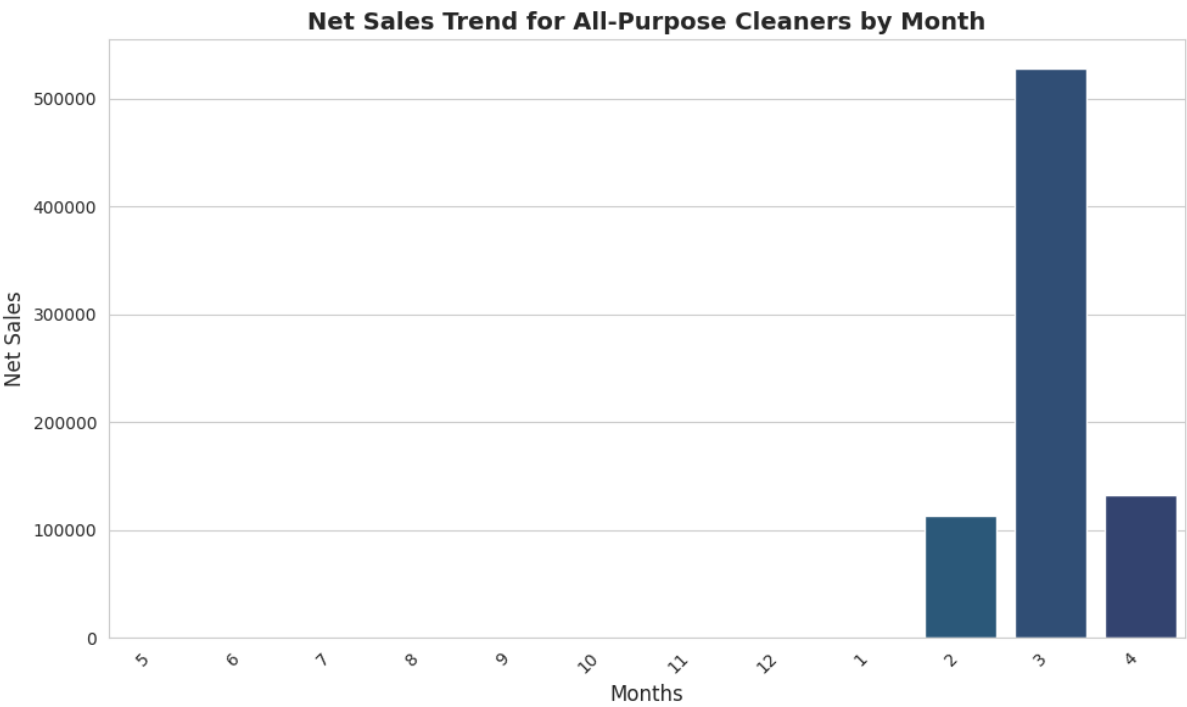
- Facial Tissue



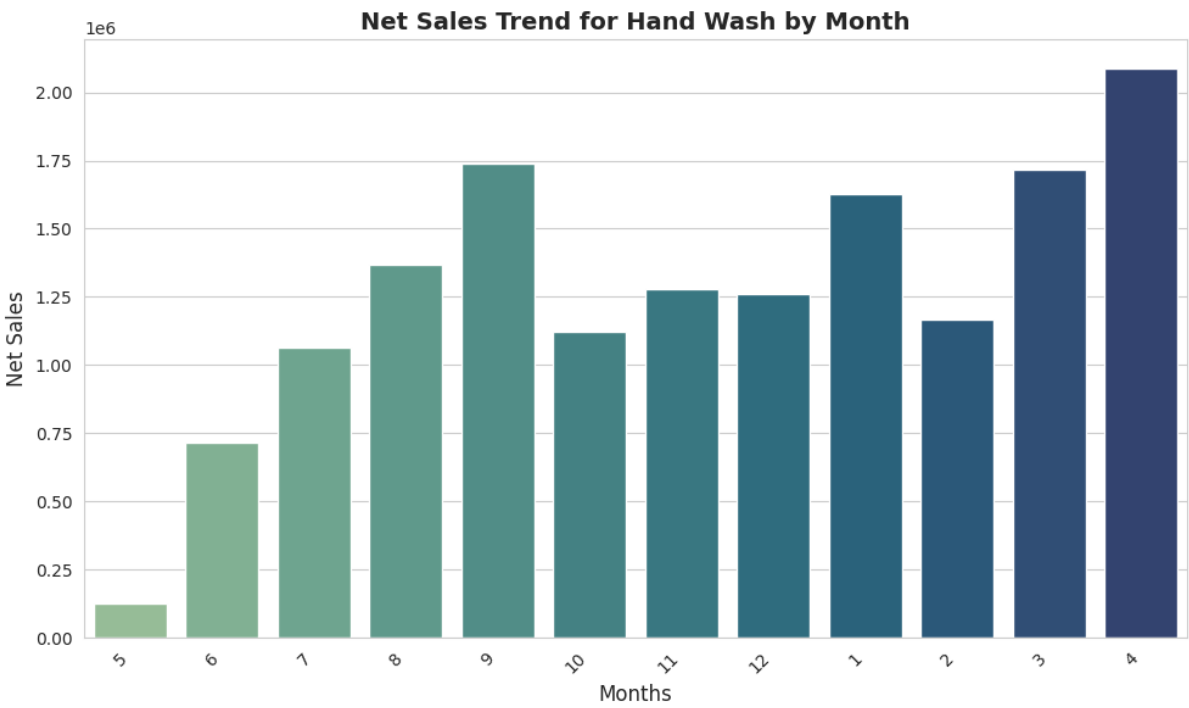
- Glass Cleaners



- All-purpose Cleaners

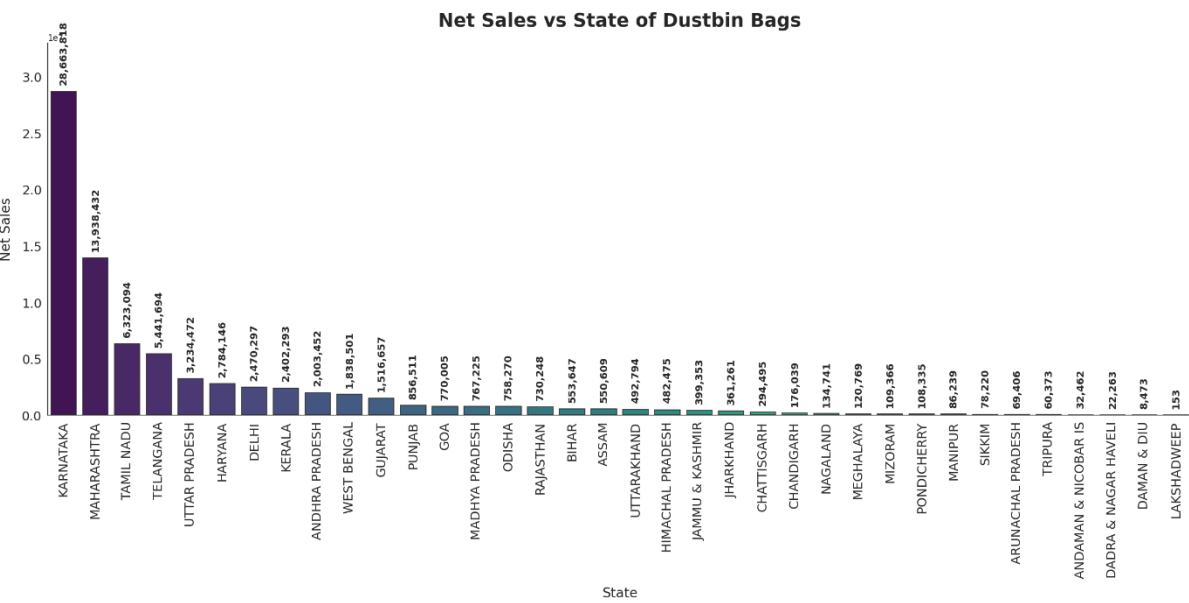


- Handwash

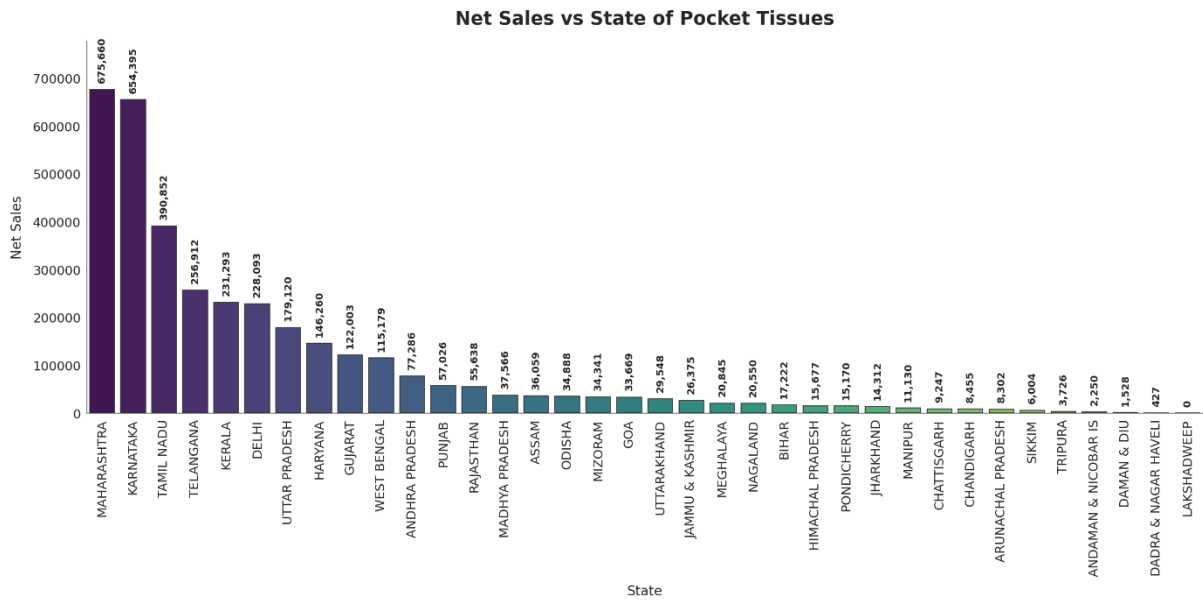


7. Net sales trend of subcategories with region(states)

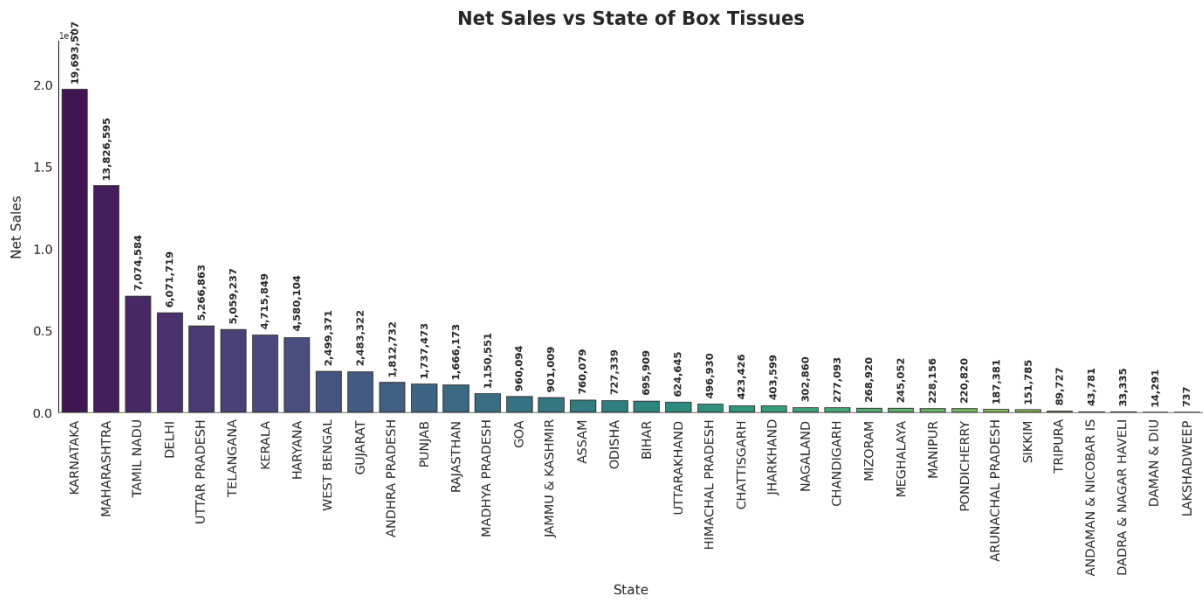
- Dustbin Bags



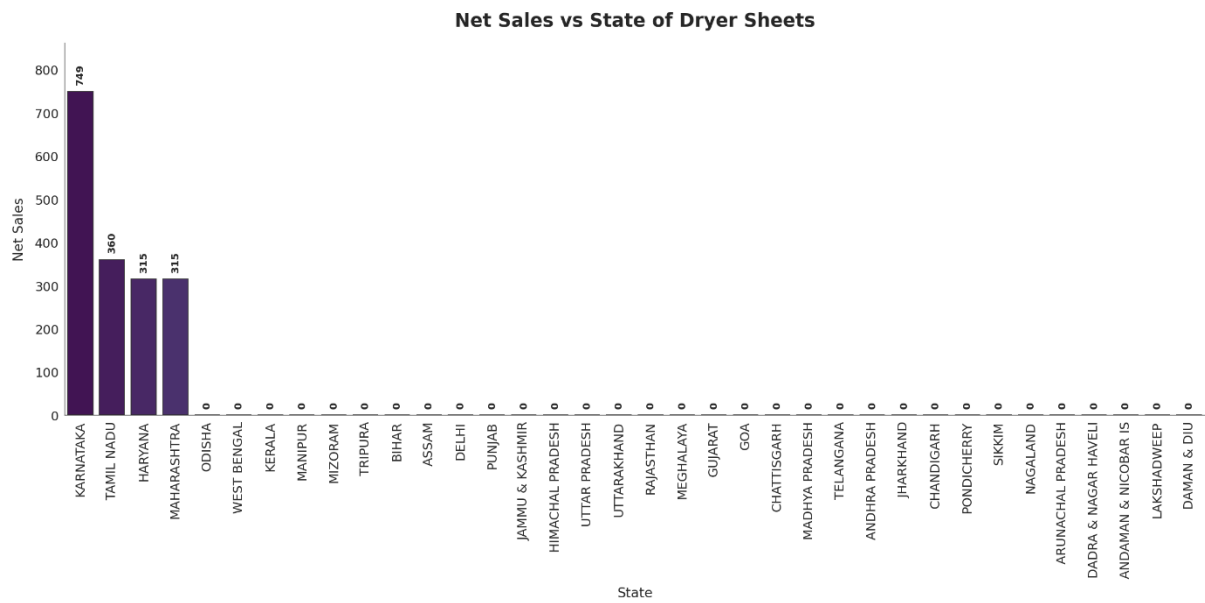
- Pocket Tissues



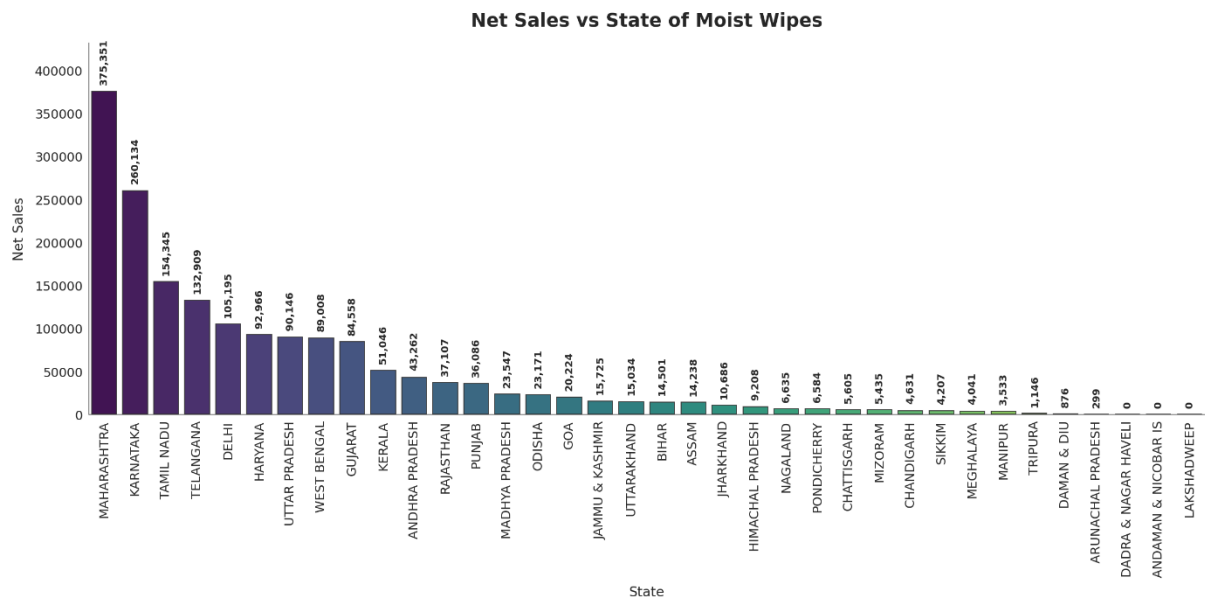
- Box Tissues



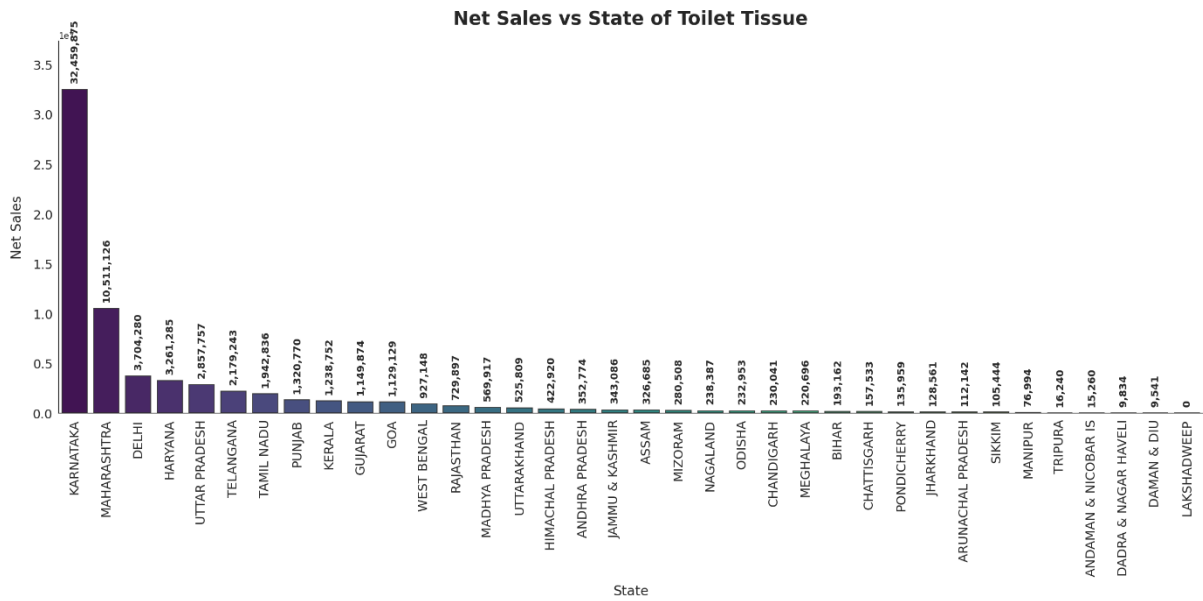
- Dryer Sheets



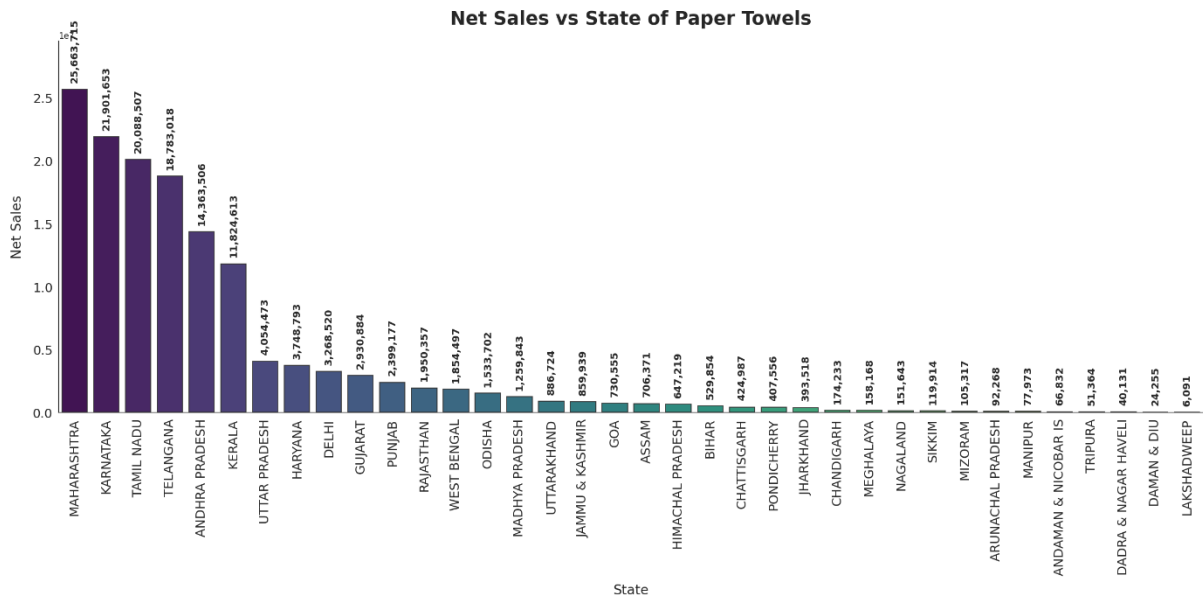
- Moist Wipes



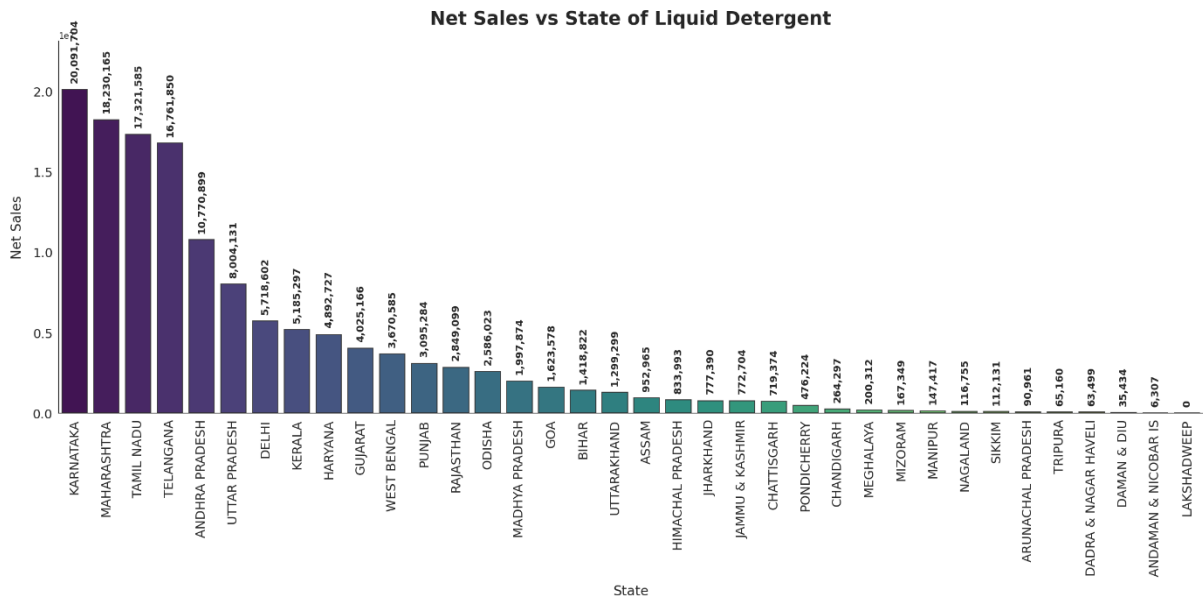
- Toilet Tissues



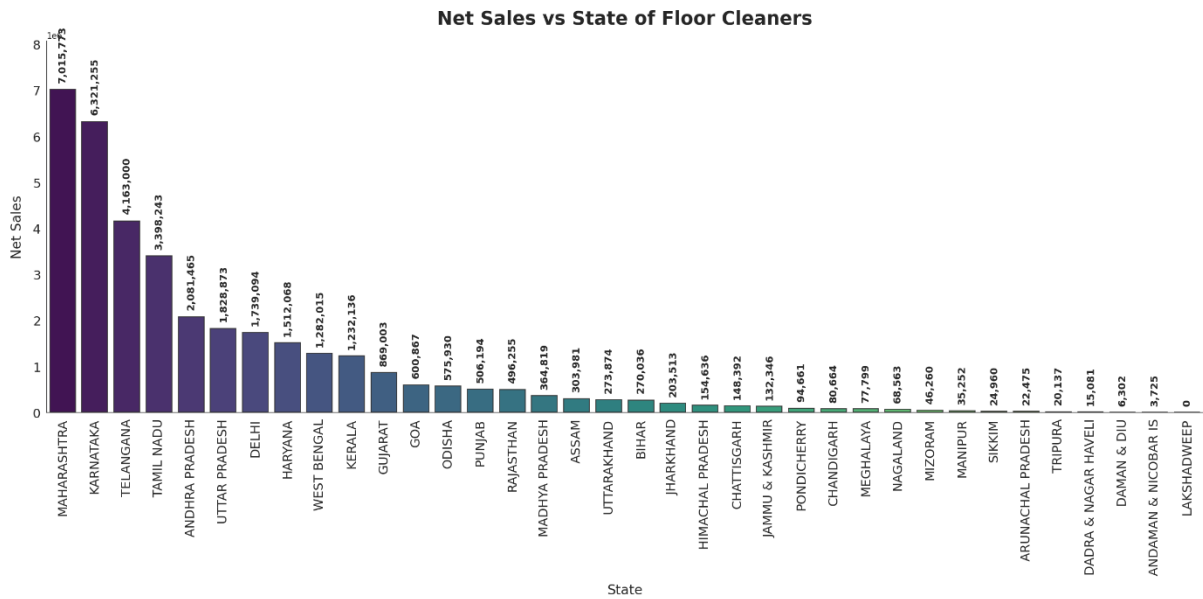
- Paper Towels



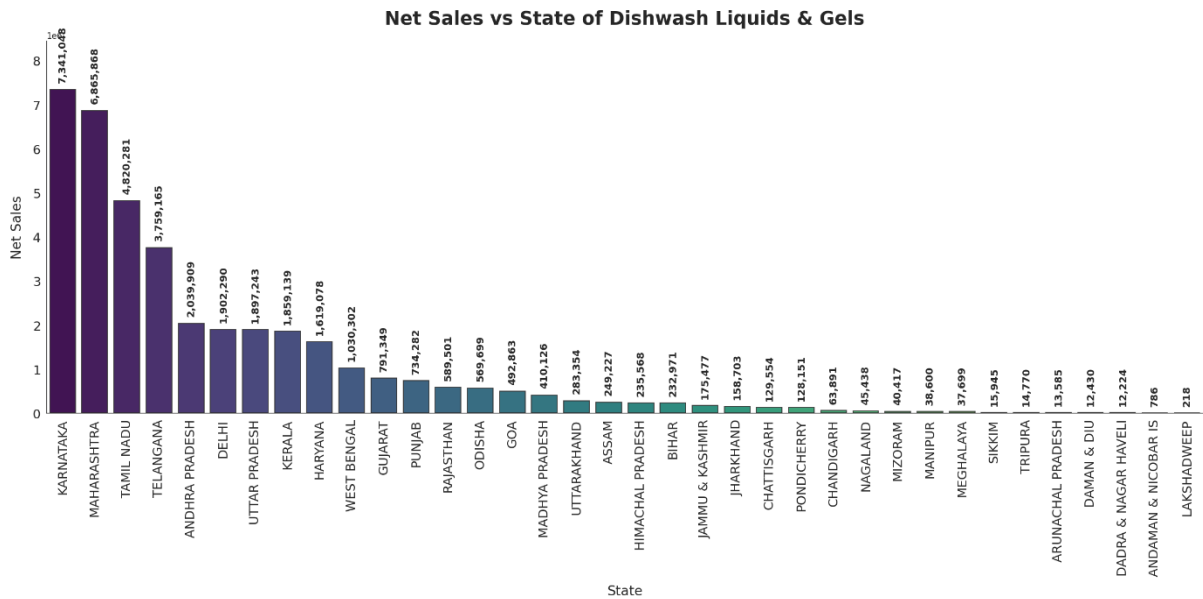
- Liquid Detergent



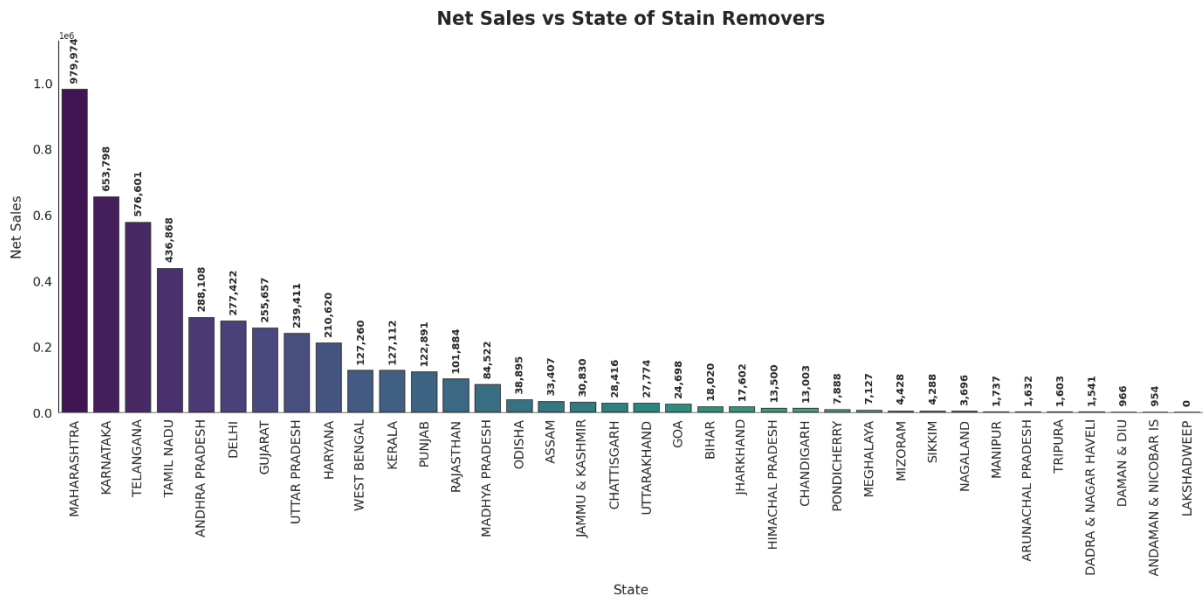
- Floor Cleaners



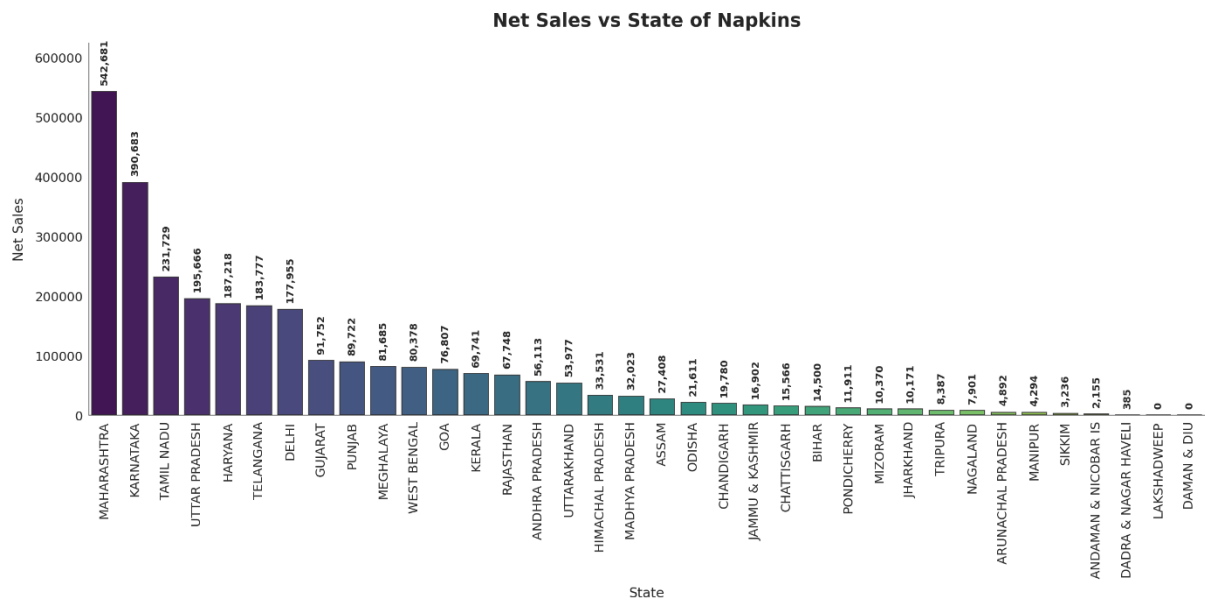
- Dishwash Liquids and Gels



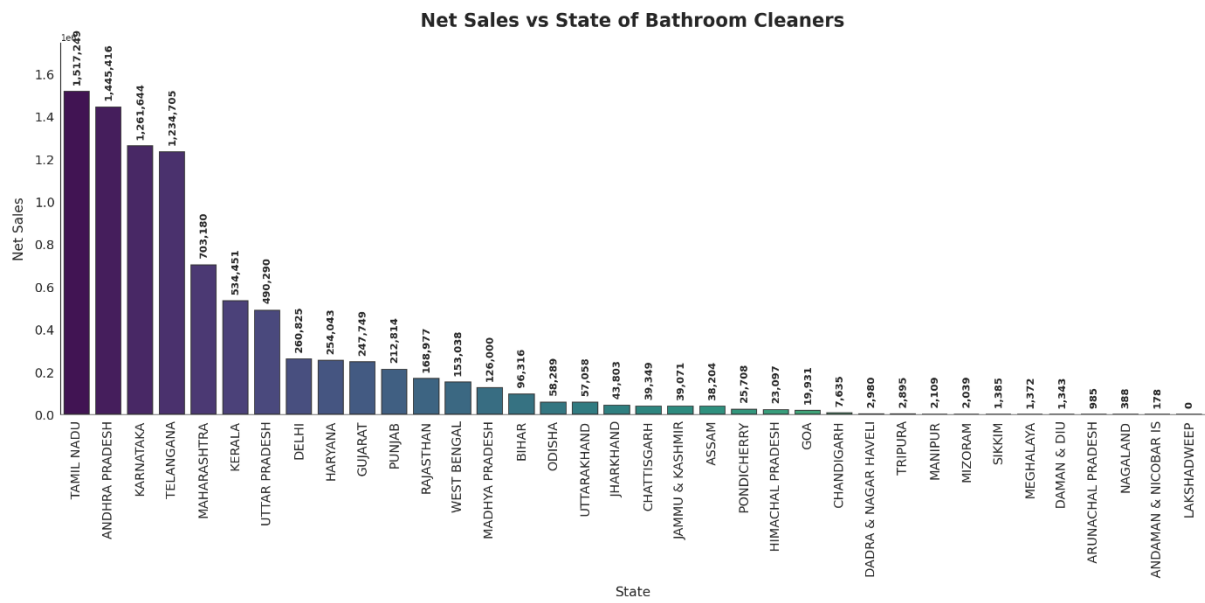
- Stain Removers



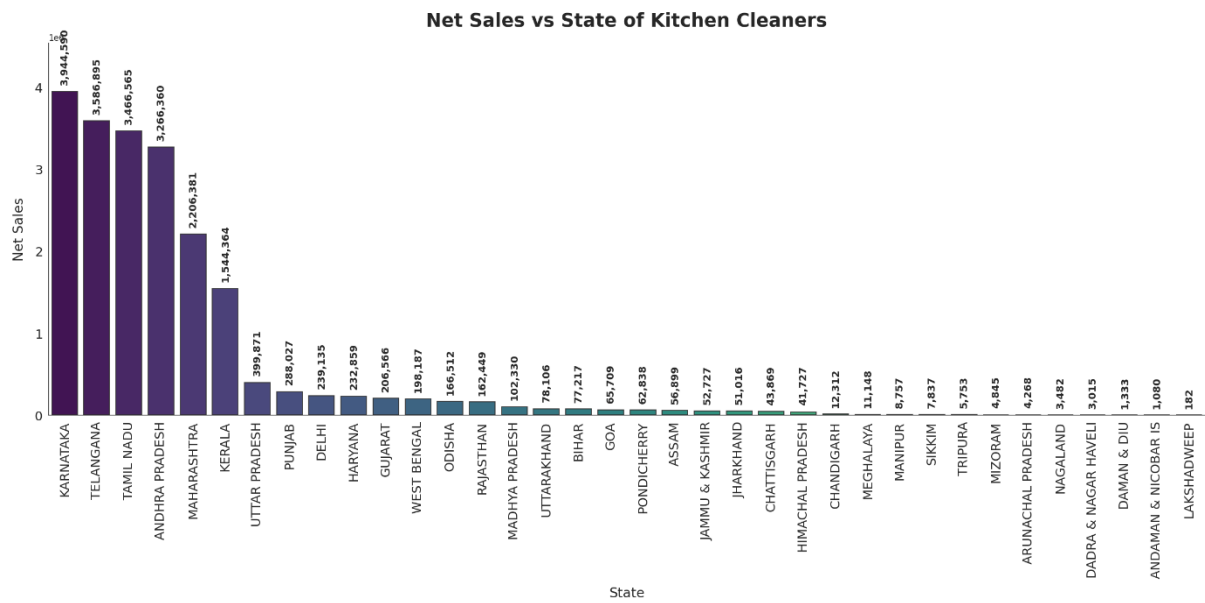
- Napkins



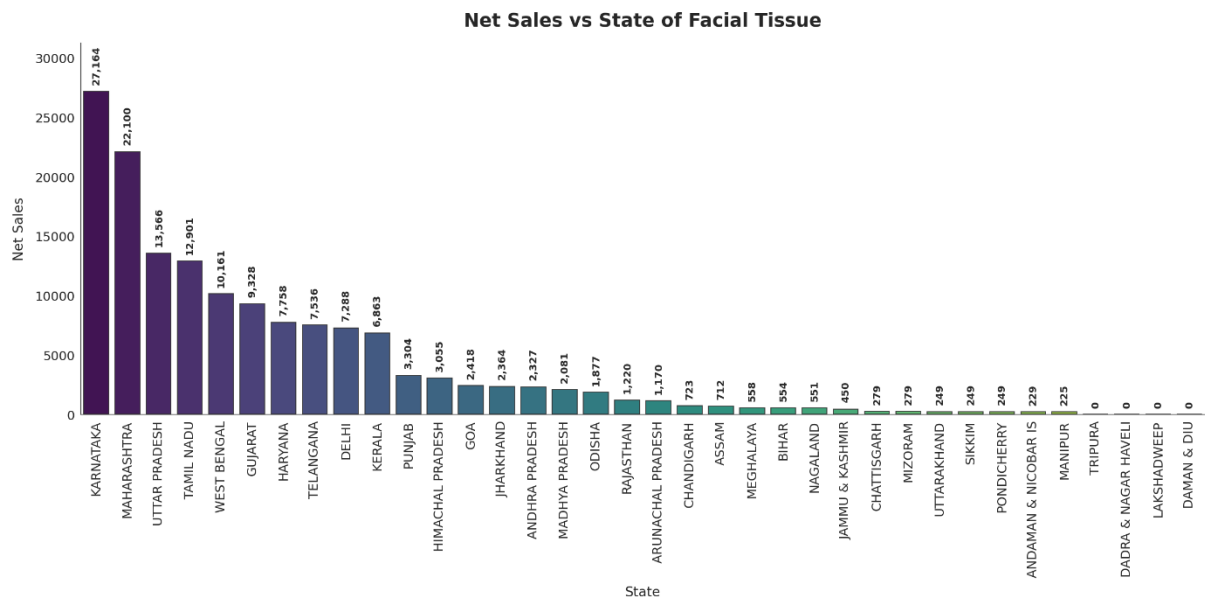
- Bathroom Cleaners



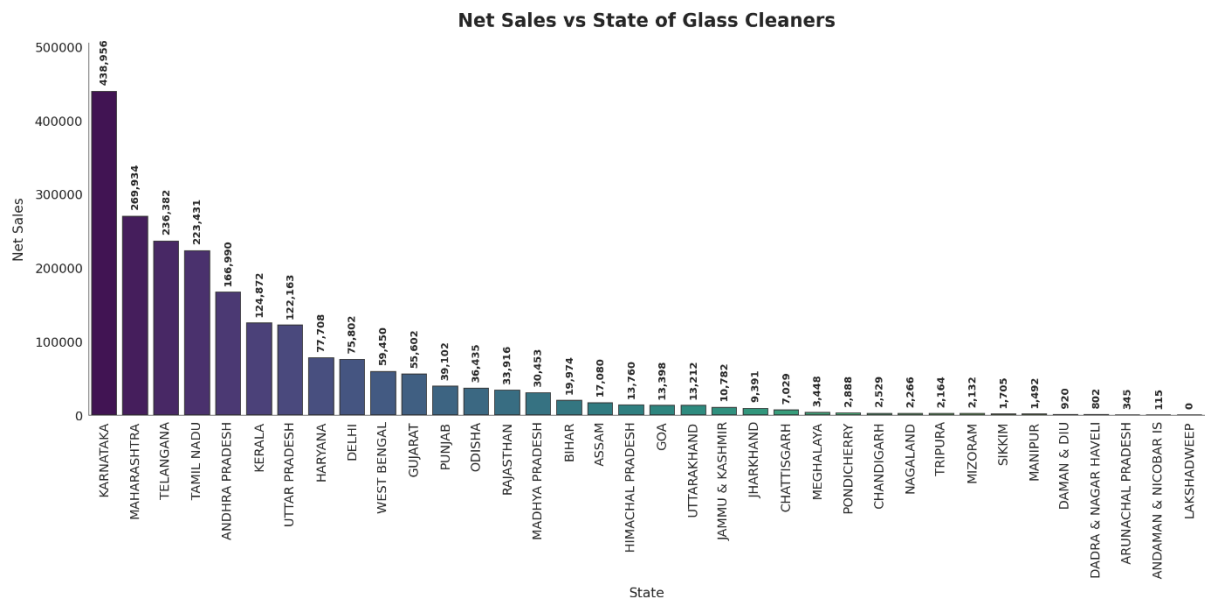
- Kitchen Cleaners



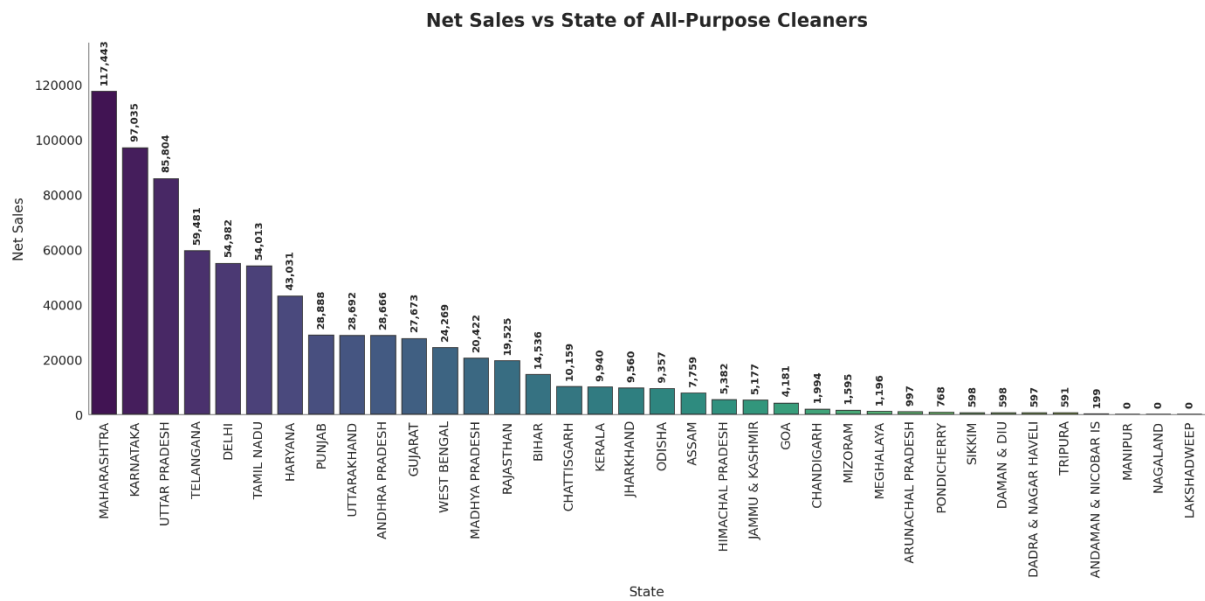
- Facial Tissues



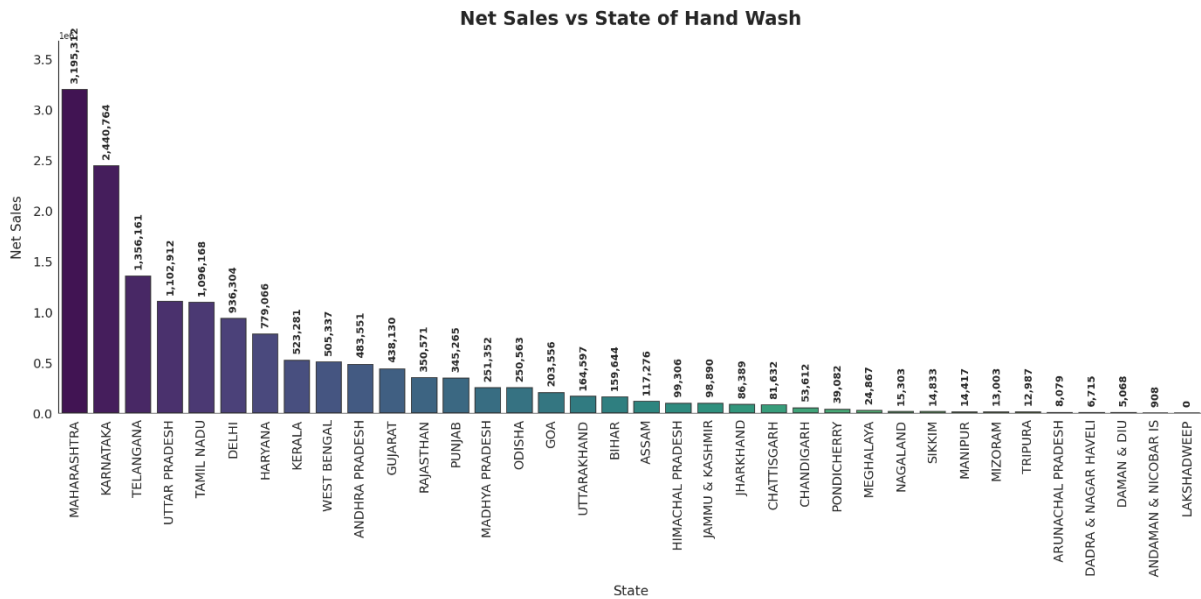
- Glass Cleaners



- All-purpose Cleaners



- Hand Wash



b. Calculating Profitability Proxy

For this problem, I had to calculate the spending of each subcategory. There were around 4800 entries in the ad data which had complete information of each feature. Most of the values were missing in the ads data which I didn't consider.

So instead of classifying 4800 keywords to the subcategories manually with keyword matching, I used an AI model to do one shot classification of each keyword to our subcategories for high accuracy classification. I used Roberta model by Microsoft for this problem.

I assumed (COGS = 0.4 x net sales) which implies (profit = 0.6 x net sales – spendings)

The profit of subcategories in order of most profitable to least profitable

Rank	Subcategory	Profit
1	Paper Towels	81,542,839.74
2	Liquid Detergent	54,084,065.10
3	Dustbin Bags	36,638,847.55
4	Toilet Tissue	32,645,875.94
5	Dishwash Liquids & Gels	15,774,895.36
6	Floor Cleaners	13,966,060.02

Rank	Subcategory	Profit
7	Hand Wash	2,792,146.60
8	Stain Removers	2,645,509.74
9	Pocket Tissues	2,118,970.97
10	Moist Wipes	992,279.07
11	Glass Cleaners	783,939.74
12	Napkins	763,389.67
13	Bathroom Cleaners	-2,183,013.24
14	Facial Tissue	-6,802,076.51

Net sales and spendings

- **Paper Towels:** Net Sales = 142,280,171.84 | Spendings = 3,825,263.36
- **Liquid Detergent:** Net Sales = 135,344,961.58 | Spendings = 27,122,911.85
- **Dustbin Bags:** Net Sales = 78,640,584.69 | Spendings = 10,545,503.26
- **Toilet Tissue:** Net Sales = 68,116,417.82 | Spendings = 8,223,974.75
- **Dishwash Liquids & Gels:** Net Sales = 38,611,148.73 | Spendings = 7,391,793.88
- **Floor Cleaners:** Net Sales = 35,969,645.39 | Spendings = 7,615,727.21
- **Hand Wash:** Net Sales = 15,274,902.81 | Spendings = 6,372,795.09
- **Stain Removers:** Net Sales = 4,764,132.38 | Spendings = 212,969.69
- **Pocket Tissues:** Net Sales = 3,577,008.59 | Spendings = 27,234.18
- **Moist Wipes:** Net Sales = 1,741,439.39 | Spendings = 52,584.56
- **Glass Cleaners:** Net Sales = 2,116,627.39 | Spendings = 486,036.69
- **Napkins:** Net Sales = 2,822,654.44 | Spendings = 930,202.99
- **Bathroom Cleaners:** Net Sales = 9,074,515.50 | Spendings = 7,627,722.54
- **Facial Tissue:** Net Sales = 149,790.27 | Spendings = 6,891,950.67

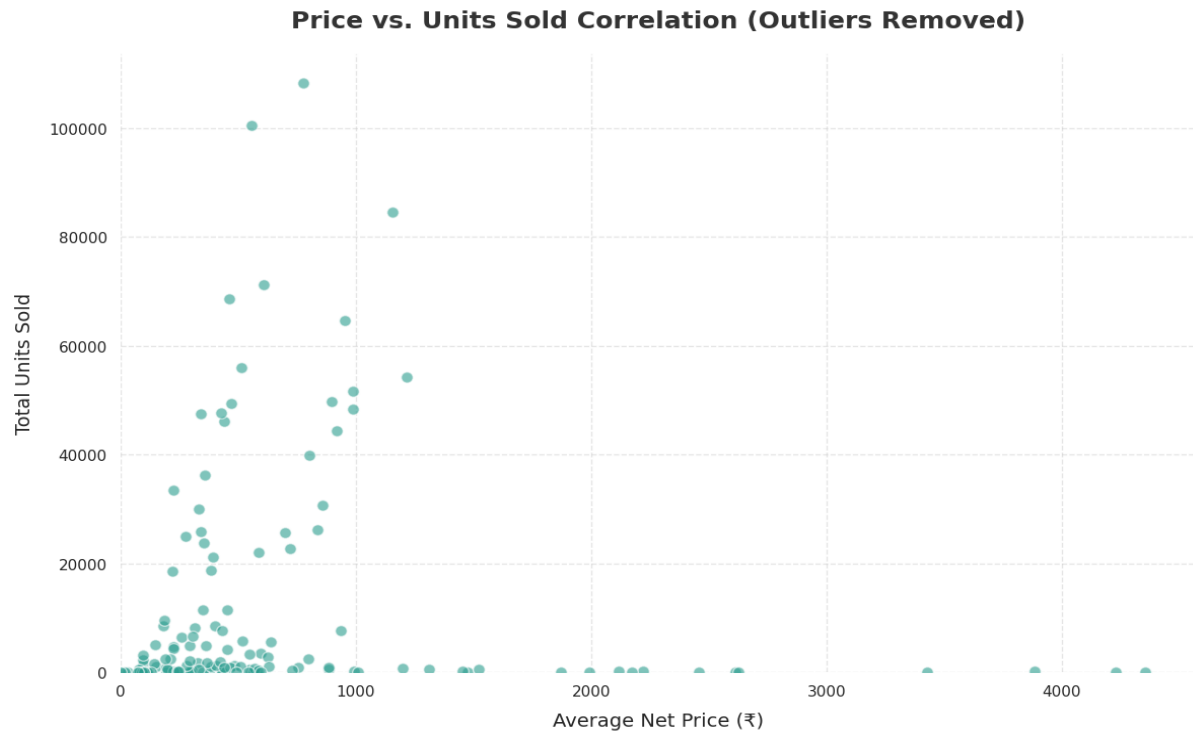
c. SKU/subcategories with high inventory age

Looking from the trends of subcategories from initial plots of net sales vs months, we can clearly see sales of pocket tissues were slow from month 5 to 11, and sales of dishwasher liquids and gels were slow from month 5 to 2. Here from “sales slowing down from assignment” I infer that sales are increasing but very slowly. We can further identify which SKU is slowing down specifically to take necessary actions before they may start to decrease.

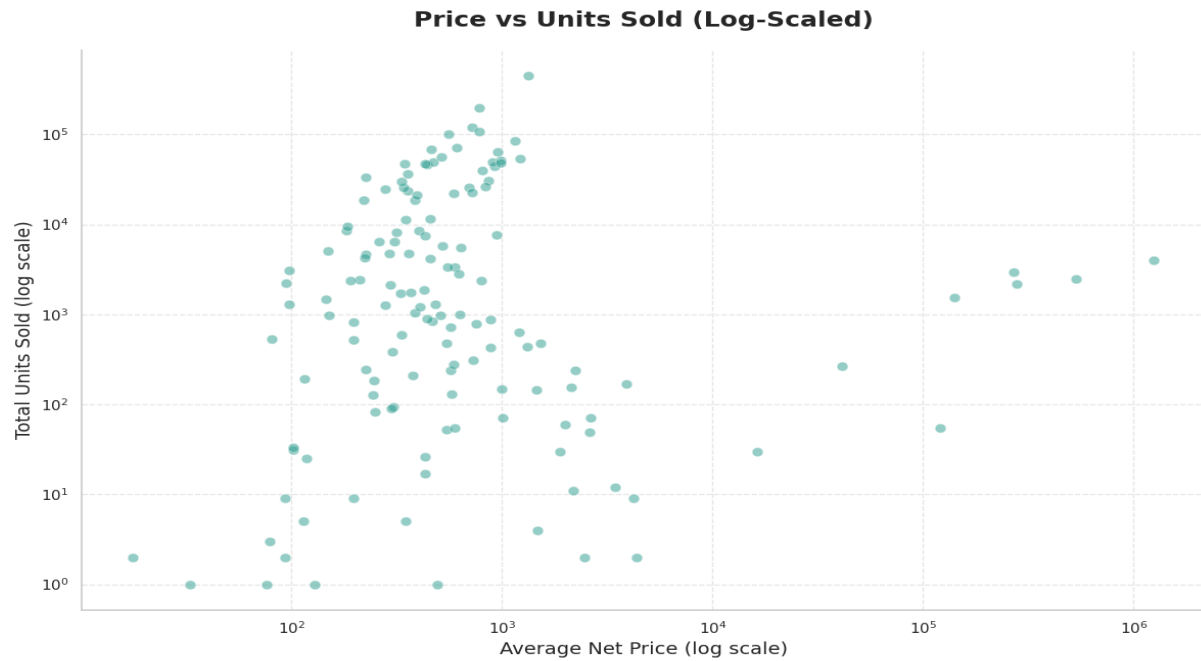
Pricing Analysis

a. Correlation between price and unit sold.

For each SKU I have calculated the average price and then calculated the net units sold.



In the above figure we can clearly see that SKUs with prices between 0 to 1000 have significantly more units sold compared to the SKUs with price greater than 1000, you can see some more insights from the graph below as it contains all the SKUs on log scale to account for outliers



So clearly there is correlation between price and units, low price corresponds to higher number of sales except some outliers.

b. Price Elasticity at category level

I have analyzed price elasticity on monthly basis at category level. I calculated the total monthly sales of the category and a category level price and then calculated price elasticity using its formula.

- Kitchen Home Storage and Organizations

Month Range	Price Elasticity
5 - 6	-0.6068
6 - 7	-1.8768
7 - 8	-2.1832
8 - 9	-4.7621

Month Range	Price Elasticity
9 - 10	-3.3459
10 - 11	11.5530
11 - 12	-1.5475
12 - 1	-1.4166
1 - 2	-1.2174
2 - 3	-1.2083
3 - 4	-2.9271

- Price Elasticity for Healthcare products

Month Range	Price Elasticity
5 - 6	0.1088
6 - 7	-3.5893
7 - 8	-4.2705

Month Range	Price Elasticity
8 - 9	-3.5106
9 - 10	0.3837
10 - 11	1.4660
11 - 12	-0.7207
12 - 1	-11.8986
1 - 2	8.4551
2 - 3	15.6896
3 - 4	-2.3906

- Price Elasticity for Beauty

Month Range	Price Elasticity
5 - 6	169.9014
6 - 7	-10.5514

Month Range	Price Elasticity
7 - 8	-10.3987
8 - 9	-8.1619
9 - 10	9.2423
10 - 11	0.1031
11 - 12	-1.2147
12 - 1	-7.4759
1 - 2	29.5860
2 - 3	41.1159
3 - 4	-15.6031

Looking at the above graphs, we can see that some of the very few SKUs with prices more than 1e+5 units have average to good number of units sold. These SKUs are likely belong to a bulk order but see SKUs with price range 1e+3 to 1e+5 have significantly smaller number of units sold. So, for extremely costly SKUs (likely bulk orders) don't necessarily have negative correlation between price and units sold, but SKUs bought at smaller scale (households, small shops etc.) and have high prices ranging from 1e+3 to 1e+5 seem to have negative correlation between price and units sold.

c. Competitor Analysis

		
Sponsored ⓘ	Sponsored ⓘ	Sponsored ⓘ
Beco Eco-Friendly Garbage Bags 180 Pcs Medium-19 x 21 Inches 30 Bags x 6 Rolls Green Dustbin/Trash Bags...	Beco Eco-Friendly Garbage Bags 90 Pcs Large- 24 x 32 Inches 15 Bags x 6 Rolls Green Dustbin/Trash Bags...	Amazon Brand - Presto! Garbage Bags Medium 180 Count 30 Bags X 6 Rolls 1...
4.0 ★★★★★ (4.8K) 6K+ bought in past month	4.3 ★★★★★ (965) 2K+ bought in past month	4.4 ★★★★★ (57.5K) 30K+ bought in past month
Great Summer Deal	Great Summer Deal	Great Summer Deal
₹287 M.R.P.: ₹534 (46% off) Up to 5% back with Amazon Pay L...	₹315 M.R.P.: ₹594 (47% off) Up to 5% back with Amazon Pay L...	₹316 M.R.P.: ₹458 (31% off) Up to 5% back with Amazon Pay L...
FREE delivery Tue, 12 May on first order Or fastest delivery Today 4 pm - 8 pm	FREE delivery Tue, 12 May on first order Or fastest delivery Tomorrow 8 am - 12 pm	FREE delivery Tue, 12 May on first order Or fastest delivery Today 4 pm - 8 pm
Add to cart	Add to cart	Add to cart

In high-frequency categories like garbage bags, paper towels, floor cleaners, and handwash, Beco's market share appears under pressure from brands like **Presto! Origami, Solimo, and Dettol**. While Beco offers a sustainable alternative, they are competing in a space dominated by giants that benefit from massive economies of scale, aggressive pricing, and decades of brand loyalty.

I found out one product whose price according to me needs to be changed, which is Beco toilet tissue rolls, Here the problem is that solimo is already having an advantage as it is amazon brand plus its price is also lower than Beco for the toilet tissue rolls.

Before changing price, we need to look at how is price elasticity for this product without losing margin.



Sponsored ⓘ

Beco Toilet Tissue Rolls | 3-ply, 1920 Pulls (160 x 12 Rolls) | Tissue Paper Roll, Toilet Paper Roll - Eco Friendly, Soft &...

4.2 ★★★★★ (1.9K)

5K+ bought in past month

Great Summer Deal

₹309 (₹0.16/count) M.R.P: ₹450 (31% off)

Up to 5% back with Amazon Pay L...

FREE delivery **Tue, 12 May** on first order

Or fastest delivery **Tomorrow, 11 May**

Add to cart

Amazon's Choice



Sponsored ⓘ

Amazon Brand - Solimo 3 Ply Toilet Paper Roll | 1920 Pulls | 160 Pulls X 12 Rolls | Soft A...

4.2 ★★★★★ (31.3K)

10K+ bought in past month

Great Summer Deal

₹235 (₹0.12/count) M.R.P: ₹350 (33% off)

Up to 5% back with Amazon Pay L...

FREE delivery **Tue, 12 May** on first order

Or fastest delivery **Today 4 pm - 8 pm**

Add to cart

I analyzed the price elasticity of the toilet tissues on monthly basis and the results were:

Month Range	Price Elasticity
5 - 6	0.0283
6 - 7	-1.4721
7 - 8	-0.8463
8 - 9	-2.5341

Month Range	Price Elasticity
9 - 10	-2.2488
10 - 11	-0.9322
11 - 12	0.2913
12 - 1	-4.0995
1 - 2	-7.1187
2 - 3	-2.0582
3 - 4	-0.1865

Since the price elasticity is clearly negative, the best move to compete with Solimo is to drop our price. My plan is to start with a 10% reduction during the months where we see the highest elasticity. We could even try to forecast these trends using machine learning later, but for now, if we target those high-sensitivity months, we should see sales jump by 30% to 40% (assuming our elasticity stays in that -3 to -4 range).

Because of this, I am looking at launching or repositioning the product with a price cut of at least 10%. Since we are currently at ₹308, bringing it down to around ₹278 should be the sweet spot to really drive up the volume.

I saw paper roll towel, dishwash liquids are doing well in capturing volume on amazon as seen earlier paper roll towel is the most profitable category at Beco.

Advertising ROI

I looked upon three key factors while analysing ad data: Keywords with low CVR, keywords with high spending and low ROAS, and keywords with low spending but high ROAS.

Analysis of low CVR Keywords

I analysed the ads data using a 3% CVR benchmark and found a major budget leak. There are 702 keywords underperforming that threshold, accounting for 159,671 in total spend. We need to address these immediately likely by pausing the one which are still enabled.

High Spending & low ROAS

I played around the data using a ROAS-based cutoff for poor performance ($ROAS < 2$) and a 75th percentile spending threshold (4,121.15). This identified 697 keywords that are significantly underperforming despite high investment.

The total waste on these keywords amounts to 55,970,408.13, which indicates a major portion of the advertising budget is being lost on inefficient traffic.

Low Spending and High ROAS

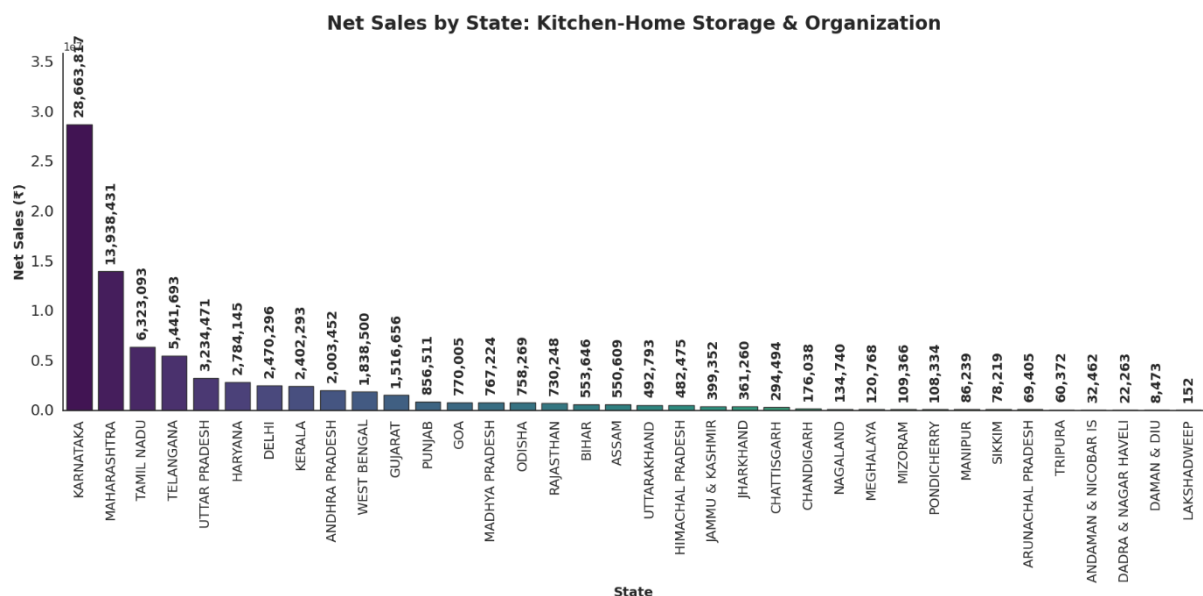
ROAS was taken to be 4 and spending was taken to be at 25th percentile. These ads should be the focus for efficient advertising. Also, I observed that ad with keywords like “Beco”, “Beko” have good ROAS. In data around 203 ads with $ROAS > 4$ have keywords “Beco”, “Beko” etc, the brand name. And surprisingly almost all the poor ads ($ROAS < 3$) don’t have brand name in their keywords.

So conclusion is, brand name added to the ad keyword can have a positive impact on ROAS. I have attached separate csv files of each advertising categories with mail, you can check.

Growth

Problem 1 – Uneven distribution of sales at regional level

By looking at the graphs of sales vs state, we have major reliance on only 2-3 states which are Maharashtra, Karnataka, and Tamil Nadu. High Population states and large markets are in Uttar Pradesh, Delhi, West Bengal but the sales here are low.

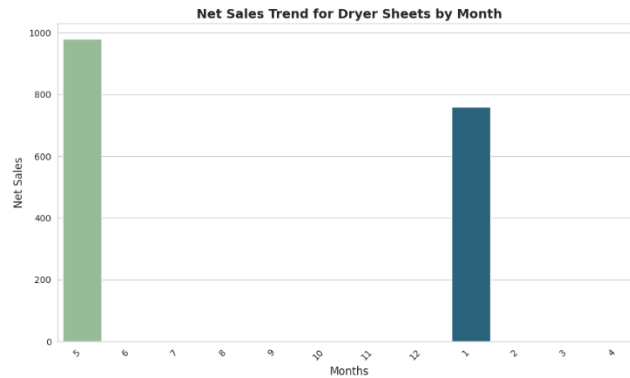


Solution

The first obvious step I would take here to adapt Karnataka and Maharashtra Model and replicating same strategies in other states if feasible.

My second strategy would be focusing on highly populated states and states with big markets like UP, Delhi, West Bengal instead of northeastern states first. The next step is to spread awareness of the brand through marketing with regional language ads and picking up regional level influencers like for example in Bihar; West Bengal regional level actors have huge fan following of there respective states which may help in promoting the brand.

Problem 2: Manufacturing of Dryer sheets



Solution: There are close to no sales for dryer sheets, instead of manufacturing dryer sheets we need to allocate the budget of dryers to the subcategories which show clear growth but needs improvement.

Problem 3: Optimization of SKU price according to its price elasticity

While doing a competitor analysis and exploring price gaps I came across a product which was beco toilet tissue rolls prized at 309 and amazon brand solimo prized at 235, clearly a significant price gap and that too with amazon own's brand which have its own advantage. Well, we cannot just decrease the price without analysis so that it doesn't impact margin.

Solution

I have done the analysis you can see the analysis in detail in competitor's section. The price elasticity of toilet tissue roll is negative means decreasing price leads to increase of sales and even in some months, the elasticity is highly negative, touching to -6 to -7. Why cannot we just try to reduce the price in steps and observe? For more accuracy we can try to forecast price elasticity and do accordingly. Similarly we can identify SKUs which needs optimization.

Problem 4: Allocating Budget on keywords with low CVR, high spending and low ROAS

As discussed earlier a significant ad budget spends on keyword with low CVR and keywords with high spending and low ROAS keywords which need to be address.

Solution

A good amount of ad budget consists High spending and low ROAS can be solved by two strategies, first by introducing a new keyword and second allocating the budget to ads with low spend and high ROAS.

I was analysing the data I found out that keywords which have "beco", "becco", "bekon" have good ROAS. I have attached the csv files in the mail with different types of keywords which we are discussing. So we can introduce keyword "beco", becco", "bekon", brand name to improve the ROAS of the ads

Also, we can try to allocate more budget to keywords with low spend and high ROAS.